



Midstate Mills Overview for Renovo Capital

Advantages / Challenges

Review top 10 customers

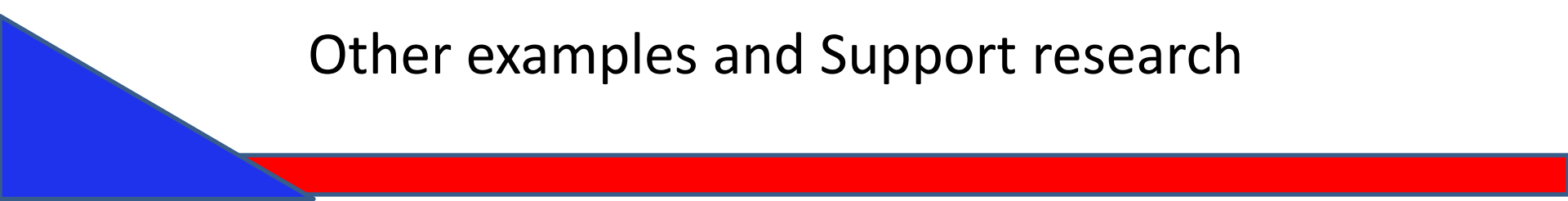
Review identified sales opportunities for 2013 and 2014 as well as sales risk for 2013.

Status during current distressed period

Sales Operations

Customer Contract Structure

Other examples and Support research





#1 HOLIDAY SEASON SELLING FLOUR

#1 SELLING FLOUR in SE USA



#1 SELLING BISCUIT MIX with only one s.k.u.

**BEST SELLING SEASONED COATING /
LOWEST PRICE /
BRINGS NEW SHOPPERS to CATEGORY**



#1 SELLING CORN MEAL in SE USA



**#1 SELLING SPECIALTY
PANCAKE MIX with
INNOVATIVE ITEMS**



Midstate Mills Advantages

- Privately Owned / Family Values
- Innovation Leaders
- Strong Regional Brands
- Strong Regional Brand Heritage
- Grass Roots Marketing Events
- Business Analytics Brilliance & Credibility
- Established Expert Direct Representation
- Category Focus
- Mill / Plant Elasticity
- Marketing Leadership
- Unique Soft Red Winter Wheat Blend



Midstate Mills Challenges

- Cash Flow
- Supply Chain and Sales Coordination
- ROI/ Trade Promo/ Sales number Metrics
- Sales Resource realign and ReDirect

Midstate Mills Solutions

Cash Management and Injection

Supply Chain and Sales weekly meeting + Supply Chain manager

Produce to Forecasts, not OH orders

Provide ROI/ Trade Promo/ Sales number Metrics

Sales Resource Realign and ReDirect/ add 2, change 1

Continue Culture of Accountability and Communication



Review top 10 customers

End-use of product (baking, food service, dusting flour, retail)

Sales trends for 2012 and views of 2013

Sales rep who manages each, main competition

Contract status and typical length of contract, pricing pressure, any volume mins

Food Lion 2012 issues and payment due from FL

Top 10: Jennings Cobble, Food Lion, Keebler, DG, Publix, Pate-Dawson, Wal-Mart, US

Foodservice, CH Guenther/Pioneer

Channel	2012 Bales - April through November	% of Total Business
Private Label	713,874	38.7%
Commercial	550,396	29.9%
Food Service	294,626	16.0%
Branded	284,887	15.5%
Total	1,843,783	100.0%

Row Labels	Values	
	Sum of total LY FTD	Sum of Total TY FTD
Food Lion	237,808	230,024
KEEBLER COMPANY	157,248	178,273
DOLLAR GENERAL CORPORATION	190,268	172,348
Publix	168,537	168,682
FLOWERS SNACK OF LONDON	147,050	149,600
PATE-DAWSON/southern foods	122,529	129,150
Jennings Cobble	115,429	111,299
Wal-Mart	88,151	84,529
Cracker Barrel	68,264	61,582
PIONEER	53,424	55,080

END USER / End Uses

Who is the target end customer? Do not buy HH data due to costs.

Demographic trends.

Large family, lower income, rural. Opportunity recently pursued with Higher income and smaller HH. Trends go toward smaller ticket rings and smaller packages or easier to prep skus

Uses: All baking needs. Larger driver of perimeter sales form Center Store

Customer decision process - why are they selecting Midstate flour over White Lily or any competitor? We need to improve and expand on knowledge of being a better product. White Lily has compromised product integrity with less Soft wheat in blend since JM Smucker acquisition. White Lily tends to more deeply promote price. We are the aspirational brand by bakers who know.

How likely are they to switch brands? What would cause them to switch? When we get trial from any user we get the subsequent purchase. Pillsbury and Gold Medal users are twice as likely to switch than White Lily or other regional brands. Martha White only rides with White Lily. Recipes, Displays, ads, coupons, price causes switch.



Trend Summary

Orders from Sales Activity are up 9%

Most activity and promotion acceptance ever by Accounts

Shipments Flat vs. down 4% trends with category

Orders shorted are 8% of Total with branded cuts at 44% of shipments

excluding original orders and reorder frequency losses

Category	LY FYTD	TY FYTD	% Change	% Total LY	% Total TY	LY - 3Month	TY - 3Month	Trend %
Grand Total - ALL	1,810,149	1,742,442	-3.9%	100.0%	100.0%	755,819	747,262	-1.1%
Grand Total - All Branded/PL	925,556	866,207	-6.9%	51.1%	49.7%	403,390	404,337	0.2%
Grand Total - ONLY Branded	359,101	295,428	-21.6%	19.8%	17.0%	162,837	118,772	-37.1%
Grand Total - All Private Label	566,455	570,779	0.8%	31.3%	32.8%	240,553	285,565	15.8%
Grand Total - All Food Service	293,422	287,707	-2.0%	16.2%	16.5%	113,197	109,373	-3.5%
Grand Total - All Commercial	591,171	588,528	-0.4%	32.7%	33.8%	239,232	233,552	-2.4%

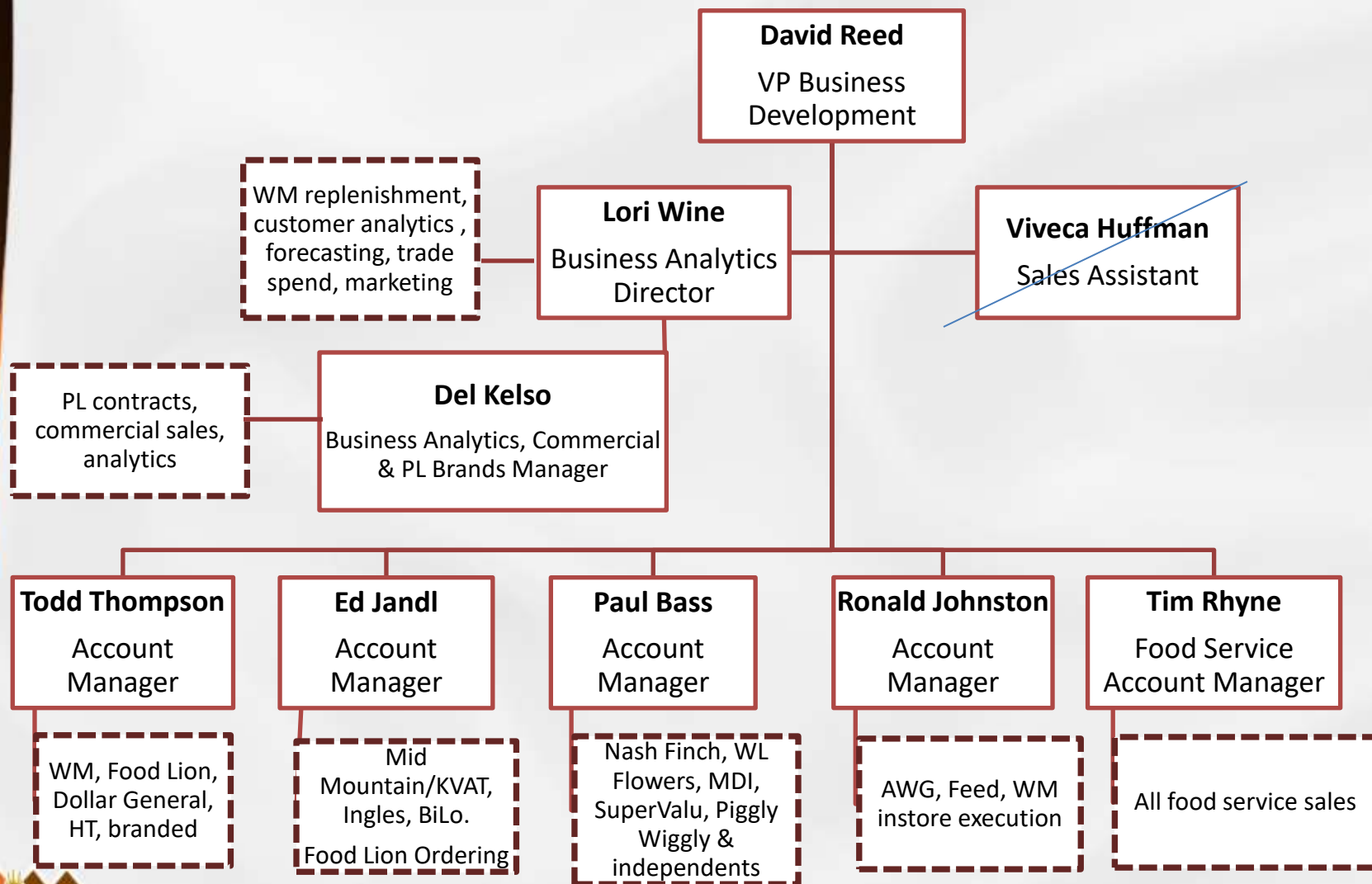
2013 Order and Activity can still grow with Sales and Supply execution adjustments



LY FYTD = April – Nov 2011, TY FYTD April – Nov 2012. 3 Month trends based on Aug/Sept/Oct 2011 vs. 2012
NO FEED included

"The Essence of Southern Baking"

Midstate Mills Sales Organization – August 2012 / Current



Competition

How likely are they to switch brands? What would cause them to switch? When we get trial from any user we get the subsequent purchase. Pillsbury and Gold Medal users are twice as likely to switch than White Lily or other regional brands. Martha White only rides with White Lily. Recipes, Displays, ads, coupons, price causes switch.

Competitors bundle bake items with other lines for more promotional spending— usually on couple of major events.

New trend is to always have something at low price point/ TPR

White Lily, Martha White, Pillsbury, Gold Medal, King Arthur, House of Autry, AdaLuh, Dixie- Lily, Bob's Red Mill , Southeastern, PL's



Tenda-Bake Brand commands

highest loyalty at 80% in 8 states market area

Brands in the category reflecting strong consumer shopper metrics in the South Region (12 states)?

Indicates Brand Leadership

	Sub-Category Dollar Loyalty	Average Price Per Unit Paid	Average Price Per Volume Paid	Percent of Dollars on Any Deal
SEGMENT	100.0%	\$2.01	\$0.58	8.9%
TENDA BAKE	69.4%	\$1.82	\$0.56	8.1%
WHITE LILY	57.3%	\$2.43	\$0.55	12.8%
MARTHA WHITE	64.9%	\$2.18	\$0.55	5.9%
PRIVATE LABEL	59.9%	\$1.44	\$0.47	11.6%



Shoppers will not substitute but go to a different store



See separate attachment for clarity



Contract	ChainName	ITEM	Product Description	Contract Order Quantity	Orders and Shipments against Contract to Date	Open Contract Order Quantity
52342CSM		58302550#	TB HI-RATIO CAKE FLOUR	10,200	10,284	-84
50562Dollar General		4918408/5	A/P FLOUR	40,880	39,582	1,298
50569Dollar General		4918458/5	CLOVER VALLEY S/R FLOUR	16,875	11,610	5,265
50580Flowers Snack		58312950#	CAKE DONUT FLOUR 1001290	8,500	20,400	-11,900
50566Food City		49109510/4	EVERREADY SR FL	950	432	518
50566Food City		4920008/5	FOOD CITY PREMIUM AP FLOUR	1,400	1,242	158
50566Food City		4920018/5	FOOD CITY PREMIUM SR FLOUR	3,000	2,700	300
50565Food City		5220028/5	FOOD CITY PREM SR MEAL MIX	1,900	1,404	496
50565Food City		5243758/5	FOOD CITY CORN MEAL MIX	4,800	4,636	164
50565Food City		5243808/5	FOOD CITY BUTTERMILK CM MX	1,200	810	390
50566Food City		52444610/4	EVERREADY CORN MEAL MIX	700	162	538
50566Food City		59199812/2	FOOD CITY PREMIUM S/R FL	1,500	1,000	500
50566Food City		59200312/2	FOOD CITY PREMIUM A/P FL	750	500	250
50565Food City		62199912/2	FOOD CITY PREM SR MEAL MX	950	400	550
50565Food City		62443212/2	FOOD CITY SR CM MIX BRNBG	1,200	600	600
50566Food City		64524510/3.25	FOOD CITY SPL FORM BIS	375	240	135
50565Food City		64524612/7OZ	FOOD CITY CINN-A-MIX	500	60	440
50553Food Lion		4910458/5	NANCY JANE ALL PURPOSE FL	3,800	6,210	-2,410
50552Food Lion		4916558/5	MY ESSENTIALS ALL PUR FL	28,300	24,489	3,811
50552Food Lion		4916608/5	MY ESSENTIALS UNBL ALL PUR	11,300	7,836	3,464
50552Food Lion		4916658/5	MY ESSENTIALS SR FLOUR	20,000	18,090	1,910
50552Food Lion		59165212/2	MY ESSENTIALS ALL PUR FL	15,500	19,313	-3,813
50552Food Lion		59166212/2	MY ESSENTIALS S/R FLOUR	10,800	12,900	-2,100
52315Harris Teeter		4915058/5	HARRIS TEETER ALLPURPOSE	16,000	21,330	-5,330
52315Harris Teeter		4915158/5	HARRIS TEETER S/R FLOUR	3,600	5,181	-1,581
50526Hillshire Brands		58302550#	TB HI-RATIO CAKE FLOUR	400	400	0
50526Hillshire Brands		613237H	I-RATIO CAKE FLOUR	25,331	28,345	-3,014
50571Keebler		58310050#	TENDA-BAKE FINE GRAHAM FLR	5,556	850	4,706
50570Keebler		613509C	COOKIE FLOUR	15,217	14,016	1,201
50559Lakeside Mills		613079L	AKESIDE MILLS CAKE FLOUR EBC	7,500	4,643	2,857
50572Lakeside Mills		624500B	ULK COARSE ROLLER GROUND CM	6,000	1,473	4,527
50558Morrison Milling		4817918/5	CKE FLOUR 18388	11,430	2,600	9,270
50569Nash Finch		4918408/5	CLOVER VALLEY A/P FLOUR	40,880	1,563	39,317
50569Nash Finch		4918458/5	CLOVER VALLEY S/R FLOUR	16,875	1,134	15,741
50560PFG Custom		4917858/5	CRACKER BARREL BISC 15380	19,159	15,499	3,660
50564Pierre Foods		613501M	IDSTATE CAKE FLOUR	5,000	2,598	2,402
50563Pioneer Frozen		4817918/5	CKE FLOUR 18388	11,430	17,459	-6,029
50574Publix		4914058/5	PUBLIX ALL PURPOSE FLOUR	40,000	2,259	37,741
50575Publix		4914558/5	PUBLIX S/R FLOUR	14,000	432	13,568
50574Publix		4914578/5	PUBLIX AP UNBL	11,500	918	10,582
50576Publix		5248058/5	PUBLIX MEAL MIX	1,000	45	955
50574Publix		59140212/2	PUBLIX ALL PURPOSE FLOUR	34,000	3,520	30,480
50575Publix		59145212/2	PUBLIX SR FLOUR	9,000	610	8,390
50576Publix		62452212/2	PUBLIX PL YELL CORN MEAL	6,000	880	5,120
50576Publix		62453012/2	PUBLIX YELLOW C/M MIX	2,500	370	2,130
50576Publix		62480212/2	PUBLIX MEAL MIX	2,200	220	1,980

[illegible]

Food Lion EDLC shortfall and quick solutions

Product	Total	Off Invoice	Net Invoice	OI %	Total	Off Invoice	Net Invoice	OI %	Total	Off Invoice	Net Invoice	OI %
1/25 SB SR FLOUR	\$36,554.88	\$1,896.00	\$34,658.88	5.2%	\$37,736.00	\$850.00	\$36,886.00	2.3%	\$34,800.00	\$1,049.00	\$33,751.00	3.0%
12/2 SB PL FLOUR	\$30,264.00	\$72.00	\$30,192.00	0.2%	\$36,696.00	\$0.00	\$36,696.00	0.0%	\$21,359.40	\$0.00	\$21,359.40	0.0%
12/2 SB SR FLOUR	\$126,876.00	\$144.00	\$126,732.00	0.1%	\$127,558.05	\$0.00	\$127,558.05	0.0%	\$81,107.00	\$0.00	\$81,107.00	0.0%
12/2 TB CM MIX	\$28,080.00	\$0.00	\$28,080.00	0.0%	\$26,784.00	\$0.00	\$26,784.00	0.0%	\$26,812.80	\$0.00	\$26,812.80	0.0%
12/2 TB SR CORNMEAL	\$30,542.40	\$48.00	\$30,494.40	0.2%	\$25,476.00	\$0.00	\$25,476.00	0.0%	\$29,012.00	\$0.00	\$29,012.00	0.0%
12/2 TB YELL CM MIX	\$43,200.00	\$0.00	\$43,200.00	0.0%	\$45,555.60	\$0.00	\$45,555.60	0.0%	\$42,336.00	\$0.00	\$42,336.00	0.0%
12/8 TENDA BAKE SEASONED FLOUR	\$23,436.00	\$2,232.00	\$21,204.00	9.5%	\$32,508.00	\$2,664.00	\$29,844.00	8.2%	\$20,008.80	\$2,822.40	\$17,186.40	14.1%
4/10 SB SR FLOUR	\$76,876.80	\$4,780.16	\$72,096.64	6.2%	\$103,535.04	\$1,753.36	\$101,781.68	1.7%	\$91,809.20	\$2,265.76	\$89,543.44	2.5%
8/5 SB PL FLOUR	\$48,016.80	\$8,618.40	\$39,398.40	17.9%	\$89,380.26	\$10,898.28	\$78,481.98	12.2%	\$47,738.70	\$5,894.64	\$41,844.06	12.3%
8/5 SB SR FLOUR	\$259,459.20	\$46,569.60	\$212,889.60	17.9%	\$345,698.82	\$42,366.24	\$303,332.58	12.3%	\$199,026.72	\$24,700.68	\$174,326.04	12.4%
8/5 TB CM MIX	\$46,515.60	\$6,913.62	\$39,601.98	14.9%	\$54,118.80	\$4,973.94	\$49,144.86	9.2%	\$56,609.28	\$5,564.16	\$51,045.12	9.8%
8/5 TB SR CORNMEAL	\$34,689.60	\$5,155.92	\$29,533.68	14.9%	\$40,685.76	\$3,750.84	\$36,934.92	9.2%	\$40,435.20	\$3,974.40	\$36,460.80	9.8%
8/5 TB YELL CM MIX	\$69,379.20	\$10,311.84	\$59,067.36	14.9%	\$85,916.16	\$7,909.38	\$78,006.78	9.2%	\$76,826.88	\$7,551.36	\$69,275.52	9.8%
8/5 TENDA BAKE BUTTERMILK CORN MEAL MIX	\$38,631.60	\$5,741.82	\$32,889.78	14.9%	\$41,775.48	\$3,832.38	\$37,943.10	9.2%	\$807.30	\$0.00	\$807.30	0.0%
8/CS TB MAPLE BURST COMPLETE PANCAKE			\$0.00 #DIV/0!		\$58,679.04	\$5,932.80	\$52,746.24	10.1%	\$36,052.80	\$3,619.20	\$32,433.60	10.0%
8/CS TB NO SUGAR ADDED PANCAKE MIX			\$0.00 #DIV/0!		\$57,933.12	\$5,847.36	\$52,085.76	10.1%	\$33,069.12	\$3,319.68	\$29,749.44	10.0%
SB FORMULA L BISCUIT MIX	\$177,120.00	\$10,980.00	\$166,140.00	6.2%	\$194,724.00	\$6,690.00	\$188,034.00	3.4%	\$189,684.00	\$7,584.00	\$182,100.00	4.0%
Grand Total	\$1,069,642.08	\$103,463.36	\$966,178.72	9.7%	\$1,404,760.13	\$97,468.58	\$1,307,291.55	6.9%	\$1,027,495.20	\$68,345.28	\$959,149.92	6.7%

Last Year total \$\$ (2012)	\$2,837,490.00
Committed Gross \$\$ = 7.39% increase	\$3,047,180.51
Estimated OI for the Year on Committed Gross @ 6.7%	\$202,687.47
Net Dollars Outstanding on contract	\$1,885,343.12

*Calendar year to 8/10/2012 comparison dates, shipments

Solutions

Ad / Promotion
Pricing Corrections
Bill for Shortfall



"The Essence of Southern Baking"

Top 10 Overall Customers – All Channels

Customer	LY FYTD	TY FYTD	% Change	% Total LY	% Total TY	LY - 3Month	TY - 3Month	Trend %
Food Lion	237,808	230,024	-3.4%	13.1%	13.2%	96,124	105,748	9.1%
KEEBLER COMPANY	157,248	178,273	11.8%	8.7%	10.2%	72,420	77,093	6.1%
DOLLAR GENERAL CORPORATION	190,268	172,348	-10.4%	10.5%	9.9%	100,764	113,488	11.2%
Publix	168,537	168,682	0.1%	9.3%	9.7%	60,861	65,294	6.8%
FLOWERS SNACK OF LONDON	147,050	149,600	1.7%	8.1%	8.6%	55,250	59,500	7.1%
PATE-DAWSON/southern foods	122,529	129,150	5.1%	6.8%	7.4%	44,609	51,771	13.8%
Jennings Cobble	115,429	111,299	-3.7%	6.4%	6.4%	47,349	40,368	-17.3%
Wal-Mart	88,151	84,529	-4.3%	4.9%	4.9%	37,648	30,637	-22.9%
Cracker Barrel	68,264	61,582	-10.9%	3.8%	3.5%	25,330	22,342	-13.4%
PIONEER	53,424	55,080	3.0%	3.0%	3.2%	21,279	21,600	1.5%
Grand Total - ALL	1,810,149	1,742,442	-3.9%	100.0%	100.0%	755,819	747,262	-1.1%



LY FYTD = April – Nov 2011, TY FYTD April – Nov 2012. 3 Month trends based on Aug/Sept/Oct 2011 vs. 2012
NO FEED included

"The Essence of Southern Baking"

Top 10 Customers – All Retail

Includes Branded & Private Label

Customer	LY FYTD	TY FYTD	% Change	% Total LY	% Total TY	LY - 3Month	TY - 3Month	Trend %
Food Lion	237,808	230,024	-3.4%	13.1%	13.2%	96,124	105,748	9.1%
DOLLAR GENERAL CORPORATION	190,268	172,348	-10.4%	10.5%	9.9%	100,764	113,488	11.2%
Publix	168,537	168,682	0.1%	9.3%	9.7%	60,861	65,294	6.8%
Wal-Mart	88,151	84,529	-4.3%	4.9%	4.9%	37,648	30,637	-22.9%
MID-MOUNTAIN FOODS	41,778	47,272	11.6%	2.3%	2.7%	17,305	20,346	14.9%
MDI	54,817	45,688	-20.0%	3.0%	2.6%	33,552	18,369	-82.7%
INGLES MARKETS, INC.	35,463	31,639	-12.1%	2.0%	1.8%	12,265	14,050	12.7%
Nash Finch	23,196	25,152	7.8%	1.3%	1.4%	8,982	11,596	22.5%
HARRIS TEETER SUPERMARKET, INC	20,312	20,306	0.0%	1.1%	1.2%	8,883	7,388	-20.2%
C & S WHOLESALE	18,015	11,057	-62.9%	1.0%	0.6%	8,759	4,490	-95.1%
Grand Total - All Branded/PL	925,556	866,207	-6.9%	51.1%	49.7%	403,390	404,337	0.2%



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NO FEED included

"The Essence of Southern Baking"

Top 10 Overall Customers – Branded Only

Customer	LY FYTD	TY FYTD	% Change	% Total LY	% Total TY	LY - 3Month	TY - 3Month	Trend %
Wal-Mart	88,151	84,529	-4.3%	4.9%	4.9%	37,648	30,637	-22.9%
Food Lion	92,323	64,118	-44.0%	5.1%	3.7%	43,076	26,350	-63.5%
MDI	54,817	45,688	-20.0%	3.0%	2.6%	33,552	18,369	-82.7%
INGLES MARKETS, INC.	35,463	31,639	-12.1%	2.0%	1.8%	12,265	14,050	12.7%
Nash Finch	15,115	14,730	-2.6%	0.8%	0.8%	5,653	5,872	3.7%
C & S WHOLESALE	18,015	11,057	-62.9%	1.0%	0.6%	8,759	4,490	-95.1%
HARRIS TEETER SUPERMARKET, INC	7,414	9,668	23.3%	0.4%	0.6%	3,329	3,554	6.3%
WL Flowers	14,676	9,332	-57.3%	0.8%	0.5%	5,672	4,860	-16.7%
MID-MOUNTAIN FOODS	6,221	6,143	-1.3%	0.3%	0.4%	2,591	2,533	-2.3%
PIGGLY-WIGGLY	7,060	4,463	-58.2%	0.4%	0.3%	2,260	1,585	-42.6%
Grand Total - ONLY Branded	359,101	295,428	-21.6%	19.8%	17.0%	162,837	118,772	-37.1%



LY FYTD = April – Nov 2011, TY FYTD April – Nov 2012. 3 Month trends based on Aug/Sept/Oct 2011 vs. 2012
NO FEED included

"The Essence of Southern Baking"

Top Customers – Private Label

Customer	LY FYTD	TY FYTD	% Change	% Total LY	% Total TY	LY - 3Month	TY - 3Month	Trend %
DOLLAR GENERAL CORPORATION	190,268	172,348	-10.4%	10.5%	9.9%	100,764	113,488	11.2%
Publix	168,506	168,663	0.1%	9.3%	9.7%	60,855	65,288	6.8%
Food Lion	145,485	165,906	12.3%	8.0%	9.5%	53,048	79,398	33.2%
MID-MOUNTAIN FOODS	35,557	41,129	13.5%	2.0%	2.4%	14,714	17,813	17.4%
HARRIS TEETER SUPERMARKET, INC	12,898	10,638	-21.2%	0.7%	0.6%	5,554	3,834	-44.9%
Nash Finch	8,081	10,422	22.5%	0.4%	0.6%	3,329	5,724	41.8%
Grand Total - All Private Label	566,455	570,779	0.8%	31.3%	32.8%	240,553	285,565	15.8%



LY FYTD = April – Nov 2011, TY FYTD April – Nov 2012. 3 Month trends based on Aug/Sept/Oct 2011 vs. 2012
NO FEED included

"The Essence of Southern Baking"

Top 10 Customers – Food Service

Customer	LY FYTD	TY FYTD	% Change	% Total LY	% Total TY	LY - 3Month	TY - 3Month	Trend %
PATE-DAWSON/southern foods	122,529	129,150	5.1%	6.8%	7.4%	44,609	51,771	13.8%
US FOODSERVICE	47,057	43,853	-7.3%	2.6%	2.5%	19,817	15,680	-26.4%
SYSCO FOOD SERVICE	21,649	21,431	-1.0%	1.2%	1.2%	7,912	7,731	-2.3%
I.F.H.	22,231	20,451	-8.7%	1.2%	1.2%	9,104	7,179	-26.8%
ORRELLS FOOD SERVICE	10,150	10,059	-0.9%	0.6%	0.6%	3,391	3,915	13.4%
SHULER MEATS, INC.	4,480	4,697	4.6%	0.2%	0.3%	2,200	2,099	-4.8%
PFG	4,094	4,389	6.7%	0.2%	0.3%	1,808	1,077	-67.9%
SEAVER'S BAKERY	3,271	3,887	15.8%	0.2%	0.2%	1,100	1,750	37.1%
MILTON'S INST. FOODS, INC.	4,016	3,178	-26.4%	0.2%	0.2%	1,596	1,346	-18.6%
NICHOLS FOOD SERVICE-WALLACE	4,434	2,928	-51.4%	0.2%	0.2%	1,444	909	-58.9%
Grand Total - All Food Service	293,422	287,707	-2.0%	16.2%	16.5%	113,197	109,373	-3.5%



LY FYTD = April – Nov 2011, TY FYTD April – Nov 2012. 3 Month trends based on Aug/Sept/Oct 2011 vs. 2012
NO FEED included

"The Essence of Southern Baking"

Top 10 Customers – Commercial

Customer	LY FYTD	TY FYTD	% Change	% Total LY	% Total TY	LY - 3Month	TY - 3Month	Trend %
KEEBLER COMPANY	157,248	178,273	11.8%	8.7%	10.2%	72,420	77,093	6.1%
FLOWERS SNACK OF LONDON	147,050	149,600	1.7%	8.1%	8.6%	55,250	59,500	7.1%
Jennings Cobble	115,429	111,299	-3.7%	6.4%	6.4%	47,349	40,368	-17.3%
Cracker Barrel	68,264	61,582	-10.9%	3.8%	3.5%	25,330	22,342	-13.4%
PIONEER	53,424	55,080	3.0%	3.0%	3.2%	21,279	21,600	1.5%
LUCKY COUNTRY, INC.	9,956	16,150	38.4%	0.6%	0.9%	1,957	7,100	72.4%
PIERRE FOODS	35,075	13,903	-152.3%	1.9%	0.8%	13,546	4,671	-190.0%
AUSTIN QUALITY FOOD COMPANY	0	1,618	100.0%	0.0%	0.1%	0	608	100.0%
KELLOGG COMPANY	22	470	95.3%	0.0%	0.0%	0	270	100.0%
BUD'S BEST COOKIES	0	350	100.0%	0.0%	0.0%	0	0	
Grand Total - All Commercial	591,171	588,528	-0.4%	32.7%	33.8%	239,232	233,552	-2.4%



LY FYTD = April – Nov 2011, TY FYTD April – Nov 2012. 3 Month trends based on Aug/Sept/Oct 2011 vs. 2012
NO FEED included

"The Essence of Southern Baking"

Top 10 Customers – Food Service

Customer	LY FYTD	TY FYTD	% Change	% Total LY	% Total TY	LY - 3Month	TY - 3Month	Trend %
PATE-DAWSON/southern foods	122,529	129,150	5.1%	6.8%	7.4%	44,609	51,771	13.8%
US FOODSERVICE	47,057	43,853	-7.3%	2.6%	2.5%	19,817	15,680	-26.4%
SYSCO FOOD SERVICE	21,649	21,431	-1.0%	1.2%	1.2%	7,912	7,731	-2.3%
I.F.H.	22,231	20,451	-8.7%	1.2%	1.2%	9,104	7,179	-26.8%
ORRELLS FOOD SERVICE	10,150	10,059	-0.9%	0.6%	0.6%	3,391	3,915	13.4%
SHULER MEATS, INC.	4,480	4,697	4.6%	0.2%	0.3%	2,200	2,099	-4.8%
PFG	4,094	4,389	6.7%	0.2%	0.3%	1,808	1,077	-67.9%
SEAVER'S BAKERY	3,271	3,887	15.8%	0.2%	0.2%	1,100	1,750	37.1%
MILTON'S INST. FOODS, INC.	4,016	3,178	-26.4%	0.2%	0.2%	1,596	1,346	-18.6%
NICHOLS FOOD SERVICE-WALLACE	4,434	2,928	-51.4%	0.2%	0.2%	1,444	909	-58.9%
Grand Total - All Food Service	293,422	287,707	-2.0%	16.2%	16.5%	113,197	109,373	-3.5%



LY FYTD = April – Nov 2011, TY FYTD April – Nov 2012. 3 Month trends based on Aug/Sept/Oct 2011 vs. 2012
NO FEED included

"The Essence of Southern Baking"

Review identified sales opportunities for 2013 and 2014 as well as sales risk for 2013.

Opportunities within specific channels (branded retail, bulk, food service, private label, etc.).

New product opportunities (organic, clean deck, muffins, etc.)

Competition within each channel (regional bulk mills, by example)

Retail shelf has changes since Smuckers bought White Lily, Martha White and pricing

Quality of SB flour versus others on shelf (bran content, transportation cost, etc.)

Ideas/ways to contract for higher volume (bulk/food service) at lower margin, barriers, opportunities

New Business

Distribution gaps

Private Brand Innovation

New Items

Upscale items

Foodservice

Walmart

Food Lion

Growth Opportunities

MDI & all Wholesale	\$3mm
Distribution gaps All Accounts	\$5mm
Walmart	\$3mm
Logistic adjustments	\$1mm
PL Innovation	\$1mm
Foodservice	\$2mm
Operations	\$2mm
New Items	\$1mm
New Business	\$2mm

Not including implementation / focus \$20mm
First Full year in effect



New Business Opportunity / Annual Sales

Military	\$ 2mm
Foodservice	\$2mm
Family Dollar	\$1mm
Target	\$1mm
Publix	\$2mm
Sam's Club	\$1mm
Sav A Lot	\$1mm
Winn-Dixie	\$1mm
Kroger	\$3mm
CVS	\$.5mm
Convenience	\$.5mm

Not including
implementation /
focus
First Full year in
effect

\$ 15 mm



2012 MSM Business Plan

Multi-Million Dollar Distribution Opportunity

- If Midstate Mills closed all distribution gaps on existing items in its marketing area (MSMA), it would generate incremental \$6.7 million in retail sales or \$4.7 million in MSM gross sales
- A new Tenda-Bake muffin mix line could generate \$5 million in retail sales or \$3.5 million in MSM gross sales @ 100% ACV distribution

<u>Item</u>	<u>Sales Per</u> <u>\$MM ACV</u>	<u>Distribution</u> <u>% ACV Gap</u>	<u>\$ Retail Sales</u> <u>Opportunity</u>
➤ Southern Biscuit Flour	\$2.76	29.8	\$2,260,000
➤ Southern Biscuit Formula L	\$0.73	61.2	\$1,227,741
➤ Tenda-Bake Corn Meal	\$1.35	37.3	\$1,383,806
➤ Tenda-Bake Pancake Mix	\$0.70	73.0	\$1,401,279
➤ Tenda-Bake Seasoned Flour	\$0.20	75.8	\$ 416,6112
➤ Tenda-Bake Muffin Mix	\$1.85 (estimate)	100.0	\$5,083,800

Source: 52 week Midstate Mills Marketing Area 12/26/2010

Assumptions: Total MSMA ACV is \$27,481,000,000. ACV by market:

Charlotte \$4,330 MM, So. Carolina \$7,416 MM, Knoxville \$1,841 MM

Roanoke \$3,970 MM, Richmond \$4,519 MM, and Raleigh \$5,405 MM ACV



"The Essence of Southern Baking"

Your Brand Innovation

5lb All Natural Unbleached Flour

2lb. All Natural Unbleached Flour

Muffin Mix pouch with any fruit:

Most popular are

Blueberry

Strawberry

Banana

Apple

Other:

Antioxidant with grape seed extract.

No Sugar Added

Maple Bursts

Chocolate Bursts

Vanilla Bursts

Pancake Mix pouches with any *flavor burst*.

Gravy Mix pouches

Cookie Mixes bag/ pouch

Biscuit Mix pouches with any of above fruits or flavor bursts

Most popular is double blueberry biscuit

Honey & Butter Biscuit Mix

Funnel Cake Mix

Cayenne Coating Mix

Jalapeno Coating Mix

Baking

Category Facts and Trends

_from IRI, AC Nielsen and Grocery Headquarters and Catalina Marketing Research 2011, 2012

Since 2009 smaller packages and servings have escalated.

New items and trial have been majority of growth

Gluten allergy is only in 3% of US population.

Most nutrients are in the gluten.

Organic and Natural are premium price trends

#2 reason to shop a location is variety. #5 is price



Midstate Mills Private Label Flour Drives Category Growth Higher+ Faster than Other store brand suppliers

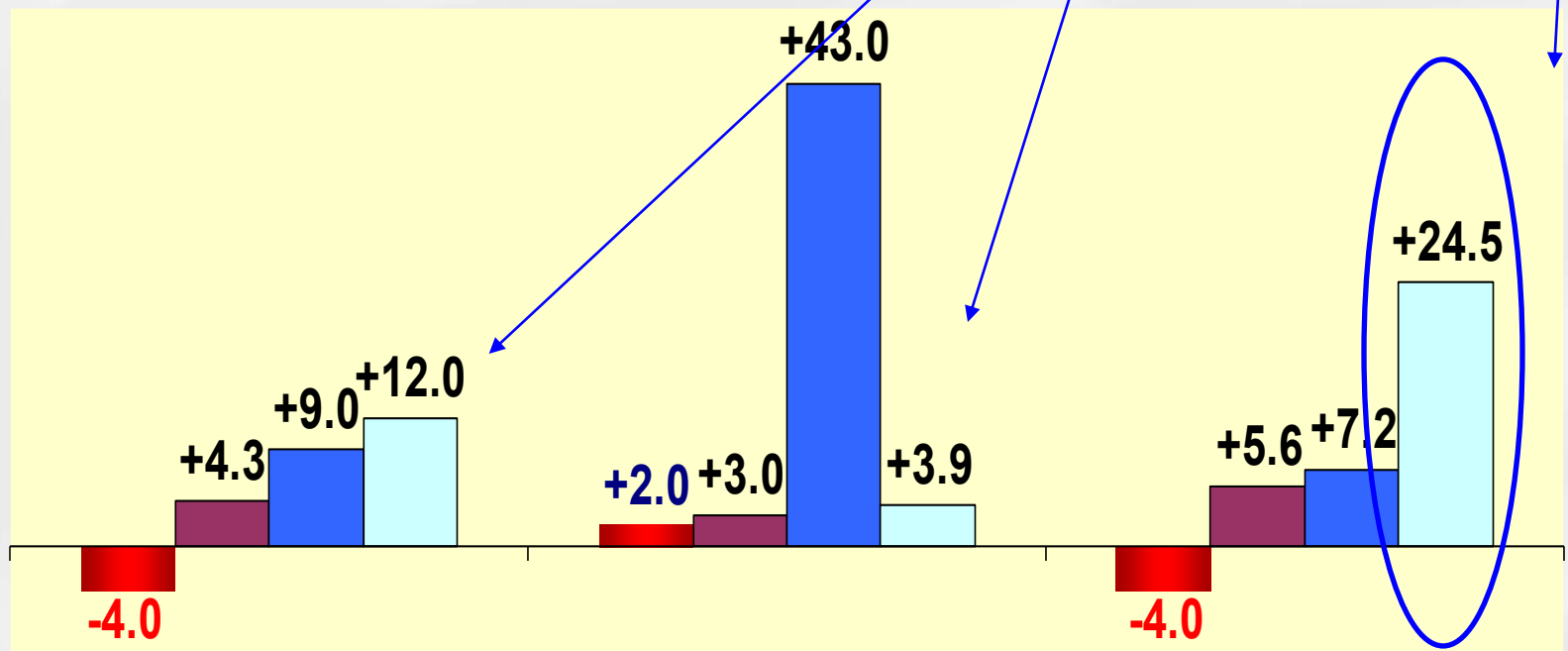
Our Unique focus & Southern profiles
Yield better results
Over 2X's the Growth

IRI 52 weeks end Dec 27 2009 unit sales
and every year through June 27,2012

MidSouth All Grocery retailers SouthEast All Grocery retailers

MidState's Private Brands Retailers

% Growth



■ Natnl Brands

■ Category

■ Midstate Brands

■ Private Label



2012 MSM Business Plan

New Products Opportunity

- Assuming a 10 share in Midstate Mills Marketing Area , we has a \$11.5 million new products sales opportunity in categories not yet entered!

(in 000's)		Total SE U.S.	MSMA	MSM Sales	
<u>Category</u>	<u>National</u>	<u>IRI Region</u>	<u>IRI Region</u>	<u>Potential</u>	
Flour	\$ 473,602	\$ 120,788	\$ 26,529	\$ 2,653	
Corn Meal	\$ 122,978	\$ 95,404	\$ 9,576	\$ 958	
Grits	\$ 84,636	\$ 74,700	\$ 7,498	\$ 750	
Dry Gravy Mix	\$ 74,160	\$ 44,496	\$ 10,752	\$ 1,075	
Batter & Coating Mix	\$ 77,678	\$ 46,608	\$ 11,262	\$ 1,126	
Baking & Biscuit Mix	\$ 131,502	\$ 35,144	\$ 8,538	\$ 854	
Muffin Mix	\$ 191,645	\$ 64,512	\$ 16,390	\$ 1,639	
Brownie Mix	\$ 266,435	\$ 70,459	\$ 22,647	\$ 2,265	
Cake Mix	\$ 382,382	\$ 97,926	\$ 32,502	\$ 3,250	
Cookie Mix	\$ 83,435	\$ 17,766	\$ 7,091	\$ 709	
Pancake Mix	\$ 228,506	\$ 55,369	\$ 11,507	\$ 1,151	
Total Potential	\$ 2,116,959	\$ 723,172	\$ 164,292	\$ 16,429	



Midstate Mills Business Plan Review

2012 Growth Initiatives

- Secure Top 25 foodservice distribution opportunities
- Broaden distribution on core retail grocery items
- Launch SB Formula L re-sealable 27.5 oz. pouch item
- Leverage in-store marketing to secure more retail merchandising
- Optimize Supply Chain and Operations processes
- Re-organize sales force to expedite growth at key accounts
- Develop succession plan to transition to improve operational discipline and accountability in the MSM organization



Walmart

- 2007 Realignment Lost DC Distribution
- 2008 Midstate's Business Grows Dramatically
- 2009 Enhanced PL Focus/ “de-sku- alization”
- 2010 Back To Regional sku's/ Plan Acceptance
- 2011 Plan Reconfirmed, but execution askew
- 2012 Slow rollout of objectives

2013 Accelerate the Plan



We are not in all SC stores within “all item” DC’s

Current Store count and DC expansion

Midstate Mills Current Traited items per DC Date: 10-24-11

Description			SOUTHERN BISC MIX	STHRN BISC SR FLR 10	STHRN BISC SR FLR 2	STHRN BISC SR FLR 5	T/B SEASONED FLOUR	TB BUTTERMILK CM MIX	TENDA SR WHT CNML 5	TENDA SR WHT CRNML 2	TENDA SR YL CRNML 2	TENDA SR YLW CRNML 5	TENDABK SR CM WHT 5	All Purpose Flour	New Item
Item#			9259252	9234438	9229882	9286662	9256748	9252462	9288356	9229874	9229853	9229867	9288349		
DC HVDC	Total SC Stores	DC Name													
6055	114	Monroe	113	42	94	95	49	50	50	50	50	51	51		
6073	120	Pageland	120	100	118	123	52	118	119	121	121	122	122		Pancakes
6099	64	MacClenny	63	10	11	11	28	11	11	11	11	11	11		
7016	109	Gordonsville	49	22	92	114	21	23	23	110	93	24	24		Pancakes

6057	76	Hammond	32				32		66						
6059	20*	Olney	8				18					14			
6071	69	Winterhaven	84				43								
6072	97	New Albany	36				84					18			
6082	84	Clarksville	34				73								
6095	87	Opelika	68				55								
6097	109	London	33				35								
7010	95	New Caney**													
7015	76	Bartlesville					5								
7019	80	Brundidge	36				42								
7023	69	Arcadia	69				29								

**New Caney was lost due to modular change

These DC's carry all items

*do not want to be in IL or IN (so only the TN, MO, KY stores are listed)

Avg. distribution point = traited stores with 5 or more items only

Data based on retail link weeks 201133 - 201142, inclusive

- If we expanded to all Super Centers in the current all item DC's = 1.5M annually
- If we expanded to all Super Centers stores in all the DC's we are in = 9.6M annually



The Essence of Southern Baking

Midstate Mills, Inc.

Retail Consumer Products

Distribution Grid

1/27/2010

WALMART

FORECAST with DISRTRIBUTION SOLUTION

Wal*Mart Target Accounts

(Potential Sales in 000s of Dollars Annually)

		12/2#	8/5#	12/2#	8/5#	4/10#	1/25#	12/2#	8/5#	12/2#	8/5#	1/25#	8/5#	12/2#	8/5#	8/28 oz.	8/24 oz.	8/24 oz.	8/24 oz.	12/8 oz.	Total Account	
Account		SB	SB	SB	SB	SB	SB	TB SR	TB SR	TB SR	TB SR	TB SR	TB SR	TB SR	TB SR	TB Bmk	TB Maple	TB 7 Grain	B No Sugar	TB	ull Dist. (\$000's)	
Account	of Store	\$MM ACV	AP Flour	AP Flour	SR Flour	SR Flour	SR Flour	Wht Corn	Wht Corn	Wht MI	MI	Wht MI	MI	Wht MI	MI	Pancake	Pancake	Pancake	Pancake	Mx	Seas. Flour	Retail Sales Vol
Weekly Sales per \$MM /			\$ 0.36	\$ 0.59	\$ 0.89	\$ 1.92	\$ 0.97	\$ 1.48	\$ 0.42	\$ 0.70	\$ 0.37	\$ 0.76	\$ 0.40	\$ 0.50	\$ 0.36	\$ 0.51	\$ 0.60	\$ 0.30	\$ 0.30	\$ 0.30	\$ 0.50	
Wal*Mart - Monroe, GA	14	\$ 700	\$ 13.1	\$ 21.5	x	x	\$ 35.3	\$ 53.9	x	x	\$ 13.5	x	\$ 14.6	\$ 18.2	x	x	\$ 21.8	\$ 10.9	\$ 10.9	\$ 10.9	\$ 18.2	\$ 242.8
Wal*Mart - London, KY	123	\$ 6,150	\$ 115.1	\$ 188.7	\$ 284.6	\$ 614.0	\$ 310.2	\$ 473.3	\$ 134.3	\$ 223.9	\$ 118.3	\$ 243.0	\$ 127.9	\$ 159.9	\$ 115.1	\$ 163.1	\$ 191.9	\$ 95.9	\$ 95.9	\$ 95.9	\$ 159.9	\$ 3,911.2
Wal*Mart - New Albany, IN	111	\$ 5,500	\$ 103.0	\$ 168.7	\$ 254.5	\$ 549.1	\$ 277.4	\$ 423.3	\$ 120.1	\$ 200.2	\$ 105.8	\$ 217.4	\$ 114.4	\$ 143.0	\$ 103.0	\$ 145.9	\$ 171.6	\$ 85.8	\$ 85.8	\$ 85.8	\$ 143.0	\$ 3,497.8
Wal*Mart - Arcadia, FL	41	\$ 2,050	\$ 38.4	\$ 62.9	\$ 94.9	\$ 204.7	\$ 103.4	\$ 157.8	\$ 44.8	\$ 74.6	\$ 39.4	\$ 81.0	\$ 42.6	\$ 53.3	\$ 38.4	\$ 54.4	\$ 64.0	\$ 32.0	\$ 32.0	\$ 32.0	\$ 53.3	\$ 1,303.7
Wal*Mart - Opelika, AL	132	\$ 6,600	\$ 123.6	\$ 202.5	\$ 305.4	\$ 658.9	\$ 332.9	\$ 507.9	\$ 144.1	\$ 240.2	\$ 127.0	\$ 260.8	\$ 137.3	\$ 171.6	\$ 123.6	\$ 175.0	\$ 205.9	\$ 103.0	\$ 103.0	\$ 103.0	\$ 171.6	\$ 4,197.3
Wal*Mart - Pageland, SC	131	\$ 6,550	\$ 122.6	\$ 201.0	x	x	x	\$ 504.1	x	x	\$ 126.0	x	\$ 136.2	\$ 170.3	x	x	\$ 204.4	\$ 102.2	\$ 102.2	\$ 102.2	\$ 170.3	\$ 1,941.4
Wal*Mart - Macclenny, FL	56	\$ 2,800	\$ 52.4	\$ 85.9	x	x	x	\$ 215.5	x	x	\$ 53.9	x	\$ 58.2	\$ 72.8	\$ 13.1	x	\$ 87.4	\$ 43.7	\$ 43.7	\$ 43.7	\$ 72.8	\$ 843.0
Wal*Mart - Gordonsville, VA	93	\$ 4,650	\$ 87.0	\$ 142.7	x	x	x	\$ 357.9	x	x	\$ 89.5	x	\$ 96.7	\$ 120.9	x	x	\$ 145.1	\$ 72.5	\$ 72.5	\$ 72.5	\$ 120.9	\$ 1,378.3
Wal*Mart - Winter Haven, FL	71	\$ 3,550	\$ 66.5	\$ 108.9	\$ 164.3	\$ 354.4	\$ 179.1	\$ 273.2	\$ 77.5	\$ 129.2	\$ 68.3	\$ 140.3	\$ 73.8	\$ 92.3	\$ 66.5	\$ 94.1	\$ 110.8	\$ 55.4	\$ 55.4	\$ 55.4	\$ 92.3	\$ 2,257.7
Midstate Mills Mktg Are	772	38,550	722	1,183	1,104	2,381	1,238	2,967	521	868	742	943	802	1,002	480	633	1,203	601	601	601	1,002	19,573



"The Essence of Southern Baking"



Status during current distressed period

Overall customer sentiment over last few months
Views by customers of company's current situation
Observations of sales performance over past few months and into Jan/Feb
Specific instances where company has fulfilled less than 100% of a PO or asked for PO to be reduced
Quantify, as best possible, sales lost over last few months due to these issues
Any known instances of supply interruptions, stock outs or delayed deliveries to food service/bulk

Distressed but staying with us; Need explosive Re-Entry plans
of Promotion Participation
Shipment challenge over order challenge



How comfortable are we with customer attitudes toward Midstate? Positive. Need to reconfirm after purchase.

Any recent issues with fulfillment rates? Some but still manageable so far.

Any recent customer loses? If so, why? Mitchell Wholesale, unprofitable, low volume account. Could be resurrected with plan-low priority



We had orders for 253,049 bales in November.....cut 14,009, or 8% of total
32% or over 4,300 bales were private label

Based on November 2011 to October 2012

This takes into account ONLY Ships vs. Cuts

There is no paper trail on ORDERS vs. cuts

Estimate is to add an additional 10% to \$\$ & Bales Cut

\$\$ are not available in shipment report for breakouts

Broken out by branded, commercial, private label and food service deleted all feed items.

Highlights:

Biggest cut months are Sept/Oct/November – which is also our biggest opportunities and selling months.

Branded for November was 11.8% of total shipments, or over \$104,000

Overall Branded experienced 44% of the total cut bales, Food Service at 26.8% and Private Label 26%



Sales Operations

Sales organization, forms of daily/weekly communication

Examples of periodic sales reports

Sales person compensation (base + commission), how commission structured

Existence of specific sales person quotes, goals, expectations

Existence of a lead management and contact management system/software

Form and frequency of communication with production planning

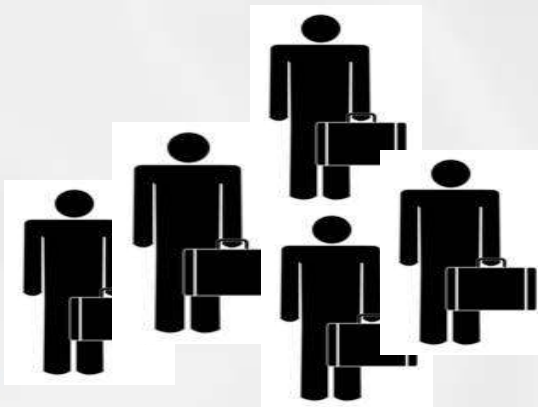


SALES PRIORITIES

1. Promotion Plans through Easter, Summer2013
2. Walmart Bake Centers
3. Order Fill / Refill relations
4. Pricing
5. Account Penetration
6. Drive Sales Plans
7. Distribution Gaps
8. Competitive Reconnaissance
9. HIGH –Level Meetings/ FoodService
10. New Business PL Contracts, Contacts

DSMP

Distribution/ Shelving/
Merchandising/ Pricing



"The Essence of Southern Baking"

Directives:

Elevate Customer Management

Senior Customer Penetration:

- + • *Broad & higher levels of contacts*
- + • Top-to-Top meetings that drive results
- One to multiple customer contact for each account
- + • Executive dialogue to include Strategic positioning & Advantages

Manage ROI/ Product Mix/ Distribution:

- Gross margin ownership by Account Managers
- New Bonus plan to incent effective mix management
- + • Build standardized tools and compliance enablers
- + • Mandatory customer engagement on mix management and distribution

Improve Trade Execution/urgency:

- Leverage Mega Events – link trade and consumer promotions
- + • Aggressive price management
- + • Annual plans
- + • Communication and Numbers tracking to preemptively address issues



Sales forms / Process / Communications

Regularly Constant e-mails and phone call/ voice mail
Weekly Conference call on Activity and issues
Bi Monthly ride-withs
Shared Drive: Weekly reports, Expense reports, Calendar

As needed Dashboard
Promo contracts
Forecasts
Appointment prep
2x year /
ongoing PPO and PIP

Provided
monthly Customer Ship report
Sales topline

PRIORITY focus points

DIRECTIVES:

1. Present programs and submit contracts
2. Account Penetration
3. DSMP Executions
4. New opportunities (WMT Bake Centers)
5. Distribution gaps
6. ISSUE Solving:
Shorts / Pricing / PL
7. Present Story to same and new audiences
8. Volume. Volume. Volume.

Other: sales presentations, data, daily shorts, ad tracking report



SharePoint shared access calendar

26	27	28	29	1	2
	8:00 AM IGA STORE RESET - ROSE HILL N.C.	8:00 AM piggly wiggly food show summerfield s.c.			
4	5	6	7	8	9
			Year Beginning Meeting-WM - David, Todd, Lori		
11	12	13	14	15	16
	10:00 AM RICK TURNER	Nichols Show Tim Rhyne, Rick Turner			10:15 AM RICK TURNER
18	19	20	21	22	23
			Vacation Marvin		
			9:30 AM RICK TURNER		Capture Image Vacation Ed
			10:00 AM Dollar General Market - Aaron Hollingsworth		Vacation Viveca
			2 more items		
25	26	27	28	29	30
	vacation Ed	11:00 AM WM Regional Manager Meeting	2:00 PM RICK TURNER	10:30 AM Food Lion - Todd, David, Lori	
	Vacation Viveca				



Name		Todd Thompson					Sln:	22
Territory Worked		Week Ending Saturday					7/14/2012	
		Chatsworth, Dalton, Ringgold, Ft. Oglethorpe, Calhoun						
Daily Calls	Retail *Other	Wholesale Mileage	Sets	Meeting	Shows	Sick	Vacation	Holiday
Sunday								
Monday	1							
Tuesday	1							
Wednesday	8							
Thursday		271						
Friday	1							
Saturday	1							
Totals	8 4	0 271	0	0	0	0	0	0
Summary	Wal-mart: "Got to be NC" Tour, call back all stores to push display product through store - store order. Reached out to							

Sales Activity Report

Tim for the DC Matrix/store counts. Reached out Alma Lopez on PL bid. Working with R Rhea on GTBNC tour.

Food Lion: Securing back half promotions for Harveys. Waiting for final approval from Kareen.

Harris Teeter: Working with Andrea on TB pancake TPR - Vic - Bogo for Sept, Oct, Nov.

Dollar General: Working with rebate department on correcting rebate amount for future invoices.

Itinerary-Week Ending Saturday
Please List Motel arrangements if staying out of town.

7/14/2012

Monday	Office	
Tuesday	To Bentonville, AR	
Wednesday	Bentonville, AR	
Thursday	Bentonville to Atlanta	
Friday	Office	*OTHER PLEASE EXPLAIN

*Update dashboard with DG Market data.

Harris Teeter billback invoices.
DG Market rebate invoices.
Retail price comparisons.



BONUS

Maximum Bonus is 15% of Salary

Weighted Elements	Marvin Johnston	Steve Ridlehoover	Ed Jaendl	Rick Turner	Ron Davis	Ronald Johnston	Todd Thompson
----------------------	--------------------	----------------------	--------------	----------------	--------------	--------------------	------------------

1.	25	5	3	5	7	3	2	7
2.	10	3	2	6	5	1	2	8
3.	10	3	3	4	3	2	3	6
4.	15	3	3	5	5	3	8	9
5.	15	3	3	5	3	3	5	5
6.	25	2	0	7	7	0	5	8
	100	19	14	32	30	12	25	43

% of
Annual
Salary

2.85	2.1	4.8	4.5	1.8	3.75	6.45
------	-----	-----	-----	-----	------	------

- Objectives at Retail
- Merchandising Activity & Impact
- Account Penetration
- Distribution
- Incremental Business
- Total Sales & PIP

Personal Goals & Performance

PPO

- Personal Performance Objectives
- Focuses on your Business
- Achieve Goals. Make Bonus



PIP

- Personal Improvement Plan
- Improve skill sets and abilities



Goals and Objectives Work:

Employee Name: _____

For the Period: _____)

<i>Document the Goals and Objectives set by the Supervisor and Employee at the beginning of the review period</i>				
<i>Number</i>	<i>Weight</i>	<i>Goal and Objective</i>	<i>What is Measured</i>	<i>How Measured</i>
1				
2				
3				
4				
5				
6				

Employee Name:	Supervisor Name:
Employee Signature:	Supervisor Signature:
Date:	Date:





Midstate Mills Performance Review

Account Manager: Steve Ridlehoover

Date: October 25, 2010

Results for PIP (Personal Improvement Plan) May 2010

Continuing to improve skills and knowledge is critical in our business environment. The effort and aggression toward improvement is "tipping-point" to individual success, which expands to company success. We agreed to specifics in May that were introduced and assigned in January.

Still needs to demonstrate more solution selling and insights execution around DPSM (Distribution, Pricing, Shelving, Merchandising).

Account Penetration opportunities.

Consultant work with was productive

Continue focus training on Negotiation, Problem Solving, & Objection Handling

Food Lion is an account of hierarchical layers and committees. Steve continues to resist finding and frequently connecting with new contacts and with frequency. He is more comfortable with and spends more time on retail like Bargain Barn or in the clerical of Food Lion orders. The business continues to need merchandising 1.DISPLAYS 2.Ads 3.price reductions Midstate Mills Brands have lower list pricing but higher retails. We have to get clarity on EDLC because that is not what other Brands are executing based on Merchandising observations.

Read & Understood Book

Next: Focus on Vendor Pulse data and Solution selling at Food Lion

Transition all Food Lion Account Replenishment and Order systems / process

Depth & width of account penetration focus

Added tenacity demonstrated at owning and finding solutions and connections to achieve objectives

Results for PPO's (Personal Performance Objectives) Jan, May 2010

Achieving our sales targets is critical to company growth and sustainability.

The economic environment has made targets challenging so we focus on the drive and effort to accomplish all that can be accomplished. Our focus narrows to DPSM (Distribution, Pricing, Shelving, Merchandising) targets along with Expectations & Standards shared at May Sales meeting & Account "Must Have's".

Through September 2010 Fiscal year shipments in volume vs. same period previous year

Food Lion -11.4% appx -40k cases

Harris Teeter (HT) +13.2% appx +3k cases

New Items

Food Lion 2 of 6 FSI support lacking in display/probably in inventories

Harris Teeter (HT) 4 of 6

No New Distribution at Food Lion

No relevant Display merchandising activity

Opportunities to Seek, Find, Connect & utilize incremental contacts in accounts around pricing /execution, merchandising and distribution.

HT had heavy assist





Standards & Expectations

- Consistently Delivers and improves on Account "Must-Haves" presented January
- Minimum 1 time/month live meeting with Account Buyers Top 13
- Minimum 3 time/month live meeting with Top 13 Account Key contacts Pricing/ Reports/Distribution/Shelving
- Consistently uses IRI data and selling points in presentation & communications
- Knows and on-demand quote elevator fact based selling points on Company & item & program Advantages
- Openly copies team & management, sharing communications & issues Including relevant sales responses and concerns
- Consistently researches and suggests solutions with issues presented
- Communicates with specific, scalable data and examples (not anecdotal)
- Consistently executes initiatives and delivers on objectives
- Consistently delivers on-time deduction/contracts/paperwork
- Consistent demonstrates positive attitude, expertise, & thought leadership
- Knows Territory & Account (Top 13)business status in depth
- Develops leading edge data and concept presentations/contribution
- Consistently exercises discipline basics in Forecasts and PPO's & PIP's
- Assertive acquisition of acct / buyer insights, thoughts, acct & competitive info
- Has prepared back up and objective list for all meetings and presentations

Account "Must-haves"

- Contact & pricing on items in areas & parity comparison
- By Item-list of stores and contacts that have sold item in last 30 days
- Ranked store list of our item top sellers
- & Category top sellers
- Baseline Movements
- Promo Movements by vehicle
- Top Promo execution stores
- Movement numbers contact
- Field Ops contact

Evaluation Comments

Steve needs to have more regular meetings with accounts and needs to visit more often to capture more contact points leading to account penetration. No execution of 2x a month meeting with buyer set-up and committed to in last EDLC meeting

Cease forwarding of e-mails or data without specific conclusion and requests. E-mails to accounts should own company positions and not just pass-along.

Steve needs to focus on solving account owned or Account manager revealed issues to further perception as valued resource and advance company objectives.

Positive attitude demonstrated. Food Lion in particular needs more assertion applied to cut through layers of bureaucracy.

While not deficient, Steve has not demonstrated consistent "well prepared" and "assertive" needed toward Midstate Mills' largest Grocery account--will initiate discussions for clarity of course.

Extreme opportunity in account penetration.

No correspondence copies on Field operation contacts

Not copied on initial communications despite clear requirements communicated.

Later sent copies after Manager Inquiry.





Summary comments for October Review

While Steve is has managed the account, he has not demonstrated the drive to overcome the higher level of challenges and bureaucracy Midstate Mills largest account of Food Lion needs.

Extreme opportunity to more fully exercise discovery & problem solving acumen to better execution as well as solve customer issues and adding more value to customers' perceptions in the process.

Better analytical skills and more aggressive contacts are needed to ramp up Food Lion execution and our own discernment of their internal cultural impediments.

Food Lion did not have the tenacity and drive exerted necessary to drive past bureaucratic fronts.

While two new items were introduced, there was not the pursuit necessary to acquire distribution data to assure success. The same execution issue around pricing where anecdotal store visits substituted for data retrieval and review for all stores.

NEXT:

Still need frequency and depth and demonstrated tenacity in account penetration.

New Vendor Pulse data acquired to reveal issues must be utilized then converted to Solution Sales presentations

Improved use of data insight presentations and account penetration.
For example-- analyze lack of impact of incremental Harvey's business.

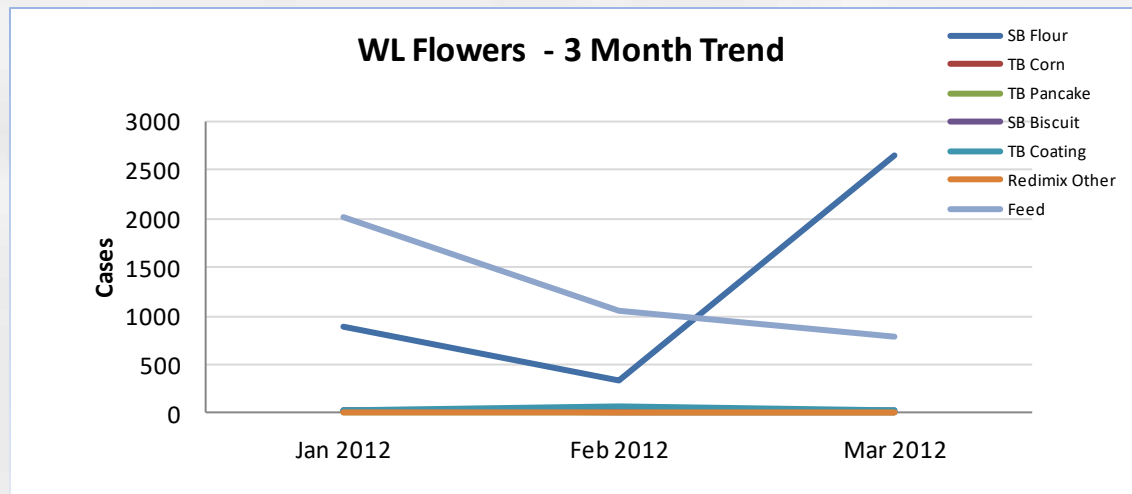
Timing and priority are Urgent & Critical here as Hannaford unit seizes more control and changes occur.

David Reed	Advisor/ Sales Director		Exceptional	☐
			Solid /Commendable	☐
			Meets Expectations	☐
			Needs Improvement	☒ X-
			Unsatisfactory	☐
NAME	Signature			



WL FLOWERS SHIPMENTS SUMMARY

Customer	Outlet	Brand	Category	Current	Last 3 Months	LY bales	TY bales	+/- LY vs. TY	% Total LY	% Total TY
WL Flowers	Retail	SB	Flour	2,640	3,865	17,154	18,946	10.4%	52.1%	49.5%
WL Flowers	Retail	TB	Corn	0	36	3,094	2,958	-4.4%	9.4%	7.7%
WL Flowers	Retail	TB	Pancake	0	0	144	0	-100.0%	0.4%	0.0%
WL Flowers	Retail	SB	Biscuit	20	70	300	370	23.3%	0.9%	1.0%
WL Flowers	Retail	TB	Coating	20	100	160	280	75.0%	0.5%	0.7%
WL Flowers	Retail	Redimix	Other	0	0	105	30	-71.4%	0.3%	0.1%
WL Flowers	Feed	Feed	Feed	794	3,864	11,993	15,670	30.7%	36.4%	41.0%
WL Flowers Sub Total	Retail	SB		2,660	3,935	17,454	19,316	10.7%	53.0%	50.5%
	Retail	TB		20	136	3,398	3,238	-4.7%	10.3%	8.5%
	Retail	Redimix		0	0	105	30	-71.4%	0.3%	0.1%
	Feed	Feed		794	3,864	11,993	15,670	30.7%	36.4%	41.0%
Total WL Flowers				3,474	7,935	32,950	38,254	16.1%	100.0%	100.0%



Before Event - Process Flow

Dash Board

- Fill in volume estimates, dates, promotion amount, etc.
- Check available accrual funds to amount committed
- Available on Share Point

Promotional Fact Sheet

- All promotions are entered on this sheet BEFORE the event takes place.
- Promotional calendar events, accruals, show funds, TPR, Ad/Display – everything
- Enter all promo #'s – list will be provided

Retailer Presented Data

- Attach approved & signed retailer specific forms to Promotional Fact Sheet
- Send in Promotional Fact Sheet & Retailer Data to Viveca for processing

After Event - Process Flow

Merchandising Performance Allowance Contract

- Fill in actual volume, etc.
- Check used accrual funds to amount committed

Proof of Performance

- Attach invoices, billbacks, actual proof of performance (POS scanned data from retailer, or picture, ad)
- Need to be submitted within 30 days to Viveca

Dash Board

- Update post results on Dash Board
- Viveca will audit/submit

Expectations & Standards

Standards & Expectations

- Consistently Delivers and improves on Account "Must-Haves" & SOP's
 - Minimum 1 time/month live meeting with Account Buyers Top 13
- Minimum 3 time/month live meeting with Top 13 Account Key contacts
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Standard Procedures

Carry BlackBerry at all times (Weekdays 8am-5pm)

Check voicemail and e-mails a minimum of 4 times per day (8,11,3,5)

Respond to customers and colleagues by sundown, 24 hours shaded.

Follow up every live customer call with an e-mail with: recap, next steps, and restatement of most impactful selling points.

Prepare, investigate, plan and follow up every call including phone calls.

Copy me on all customer communication

Submit Promotor Detail sheet within 7 days of agreement to Viverra. After promo, submit updated sheet before any deductions N2.

Notify me of all major customer appointments as soon as they are committed.

We must all act with a sense of urgency, drive business growth, broaden customer influence and points of contact.

Increase productivity by making most of your daily activity toward sales and goals- it is easy to be lulled into the ease of details and not drive and address conflict that moves business forward.

We need to improve our skills and abilities to answer the customer questions: Are we striving to be the best and lead the category? Can they trust us? Do we care about them?

Are you to use supporting data at every opportunity and represent the values and traditions of Southern lamb and the essence of Southern Baking.

Whenever presenting or emailing or any and all communication share and convey "selling story" facts and brand advantage data. Never pass a second to drop in selling points.

Evaluation Comments



IF YOU WANT TO GET AHEAD ON THE JOB, NEVER SAY...

BY JOHN R. GRAHAM

What does it take to get ahead in business today? While the experts may offer such suggestions as possessing cutting-edge skills and being a good team player, there are other, even more essential, attributes.

Clearly separating the average employee from the superior worker are basic — but often lacking — qualities.

The techniques are actually quite simple, but they have one fundamental, common characteristic that makes them so valuable: *Each one produces positive action.*

The quickest way to achieve success is to eliminate the negatives. If you want to be considered a "star" performer, here is what you should strive to avoid.

1. Never say, "They didn't get back to me." Or, "They are getting back to me." Both are equally disastrous. Expecting someone to get back to you stops the action. Take the initiative. Never wait for *anyone* to return your telephone call.

2. Never say, "I thought someone else was taking care of that." Excuses indicate a roadblock to action. You do what you're told, but don't think about what should be happening. Always ask questions to keep things moving.

3. Never say, "No one ever told me." Let a supervisor hear you talk this way very often and you will have made a very clear statement about the way you work. You operate in a tunnel, oblivious to everything that is going on around you.

4. Never say, "I just assumed..." Making assumptions is the best way to become instantly obsolete. This is the stuff of which doom is made.

5. Never say, "I left her a message." So what? Leaving the message doesn't mean you have accomplished anything or that the responsibility is now passed to the person you called.

6. Never say, "I didn't know you wanted me to do that." Teflon is out in business. Expressing statements such as this only indicates that you are only capable of doing what you are told to do and nothing more.

7. Never say, "I didn't have time." And don't bother with "I was too busy," either. If you find yourself saying things like this, you are writing your employment obituary. Your job tombstone will read, "Couldn't handle the job."

8. Never say, "I didn't think to ask about that." Anticipating what needs to be done is the job. An inability to see down the road may indicate that you lack the ability to understand and grasp relationships.

9. Never say, "But it isn't due until..." Last minute performance is out. Managers know that what's done at the last minute doesn't leave time for proper evaluation, revision and refinement. Going with the second-best doesn't get the business.

10. Never say, "But they said it would be done on time." There's only one problem — it isn't. Why? Because you failed to check to determine progress and possible problems.

11. Never say, "It's scheduled for..." The schedule is only important if completion will be on time. Schedules must be actively verified as many times as necessary.

12. Never say, "As I understand it..." Stop playing games. You're hedging and that's trouble. Using words like this indicates that you're a

bystander, not an active participant. Spectators don't play the game — and they don't get the rewards.

13. Never say, "I'll do it as soon as I get it from..." Sorry, not good enough for today's competitive work place. If you're just a cog in the process, you're out of a job. Even though it may not be your fault that it's late, you're smart if you make it your responsibility to get it in your hands on time.

14. Never say, "I'm going to get on that right away." Sure you are! Now that someone had to remind you about it. You are communicating the message that you are disorganized and deal only with assignments when they are called to your attention. Either your days are numbered or you will never be promoted.

15. Never say, "I've been trying to get everyone together, but..." It doesn't wash today. Using these words makes it appear that you can't handle responsibility or that your associates and coworkers don't respond to you. Either way, it means trouble.

16. Never say, "We've been playing telephone tag." The words "telephone tag" should *never* be heard. On the surface, you may think you're letting it be known how busy you are. Not so. Why? If you're playing "telephone tag," you do not live in real time. Do whatever is necessary to stop this from happening. If necessary, get a beeper and publicize your number.

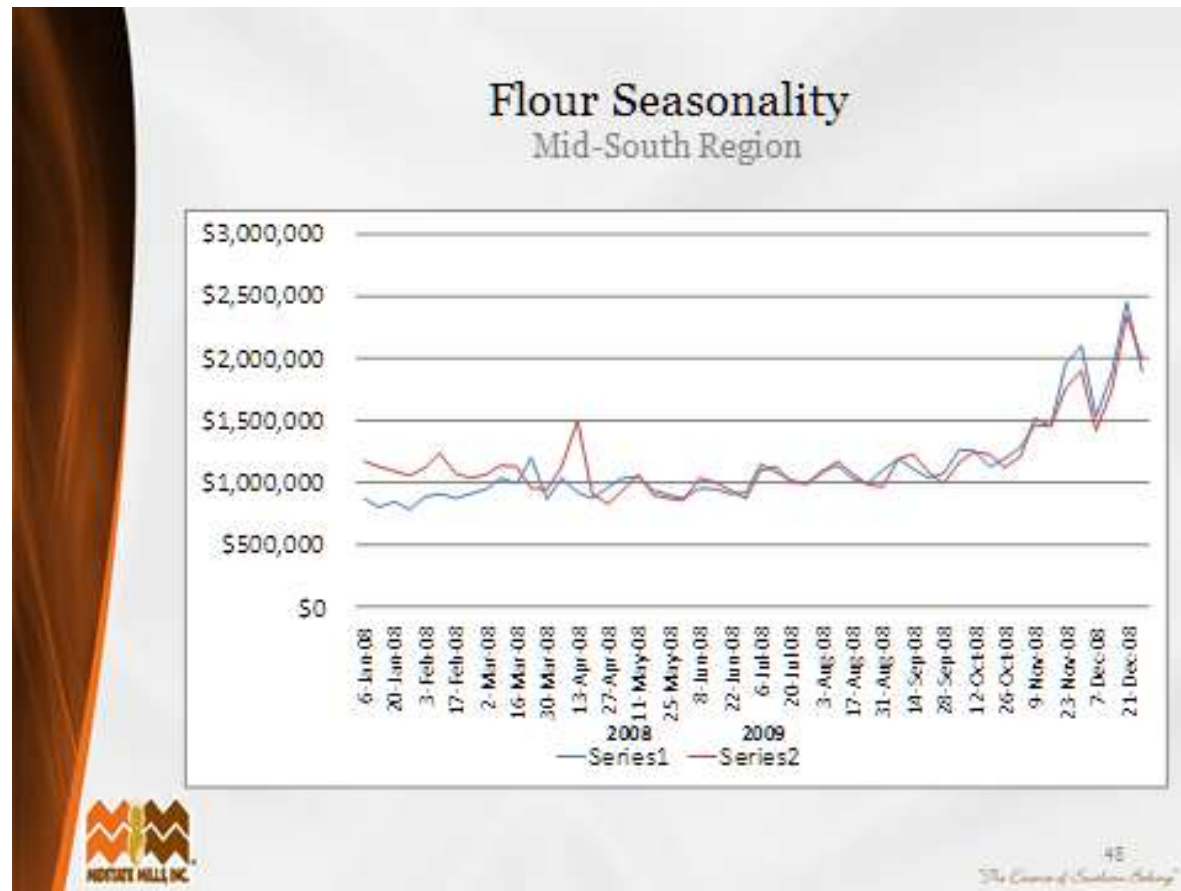
17. Never say, "I haven't been able to get through to her..." Of course, voice mail is a terrible problem today. The barriers are higher than ever and seemingly impenetrable at times. Get creative. Send flowers. Hire a limo. Do whatever it takes to get attention. Sitting back and making excuses only is a sure sign that you can't cut the mustard.

The message in business today is very clear. The only measure for success is performance. Whatever the roadblocks, it's your job to remove them. If not, you'll be perceived as one of them. **O**

John R. Graham is president of Graham Communications, a marketing services and sales consulting firm in Quincy, MA.



Trade promotions / Marketing



Special events

Process #	Item	UPC CODE	PK	SIZE	PRODUCT DESCRIPTION	EFFECTIVE DATES	QTY	BILL BACK
January 2013								
410F	81100	F1101-3410	4	16	Scrubber Brush Backing - Heavy Duty	01/01/2013	106010	\$ 1.00
410F	81100	F1101-3410	4	16	Scrubber Brush Backing - Heavy Duty	01/01/2013	106010	\$ 1.00
410F	81100	F1101-3410	4	16	Scrubber Brush Backing - Heavy Duty	01/01/2013	106010	\$ 1.00
410F	81007	F1101-3412	12	74	Scrubber Brush Backing - Dual Cleaning Str.	01/01/2013	106010	\$ 1.00
February 2013								
410F	81100	F1101-3410	12	1	Scrubber Brush Backing - Heavy Duty	02/01/2013	106010	\$ 1.00
410F	81100	F1101-3410	4	16	Scrubber Brush Backing - Heavy Duty	02/01/2013	106010	\$ 1.00
410F	81007	F1101-3412	4	74	Scrubber Brush Backing - Dual Cleaning Str.	02/01/2013	106010	\$ 1.00
410F	81008	F1101-3410	4	16	Scrubber Brush Backing - Heavy Duty	02/01/2013	106010	\$ 1.00
410F	81009	F1101-3410	4	16	Scrubber Brush Backing - Heavy Duty	02/01/2013	106010	\$ 1.00
410F	81010	F1101-3410	4	16	Scrubber Brush Backing - Heavy Duty	02/01/2013	106010	\$ 1.00
410F	81011	F1101-3410	4	16	Scrubber Brush Backing - Heavy Duty	02/01/2013	106010	\$ 1.00
410F	81012	F1101-3410	4	16	Scrubber Brush Backing - Heavy Duty	02/01/2013	106010	\$ 1.00
410F	81013	F1101-3410	4	16	Scrubber Brush Backing - Heavy Duty	02/01/2013	106010	\$ 1.00
410F	81014	F1101-3410	4	16	Scrubber Brush Backing - Heavy Duty	02/01/2013	106010	\$ 1.00
410F	81015	F1101-3410	4	16	Scrubber Brush Backing - Heavy Duty	02/01/2013	106010	\$ 1.00
410F	81016	F1101-3410	4	16	Scrubber Brush Backing - Heavy Duty	02/01/2013	106010	\$ 1.00
410F	81017	F1101-3410	4	16	Scrubber Brush Backing - Heavy Duty	02/01/2013	106010	\$ 1.00
410F	81018	F1101-3410	4	16	Scrubber Brush Backing - Heavy Duty	02/01/2013	106010	\$ 1.00
410F	81019	F1101-3410	4	16	Scrubber Brush Backing - Heavy Duty	02/01/2013	106010	\$ 1.00
410F	81020	F1101-3410	4	16	Scrubber Brush Backing - Heavy Duty	02/01/2013	106010	\$ 1.00
410F	81021	F1101-3410	4	16	Scrubber Brush Backing - Heavy Duty	02/01/2013	106010	\$ 1.00
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410F	81099	F1101-3410	4	16	Scrubber Brush Backing - Heavy Duty	02/01/2013	106010	\$ 1.00
410F	81100	F1101-3410	4	16	Scrubber Brush Backing - Heavy Duty	02/01/2013	106010	\$ 1.00
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410F	81123	F1101-3410	4	16	Scrubber Brush Backing - Heavy Duty	02/01/2013		

ADS & DISPLAYS 5 Events

August / September Back To School



September / October Fall Baking / Football / MLB WS

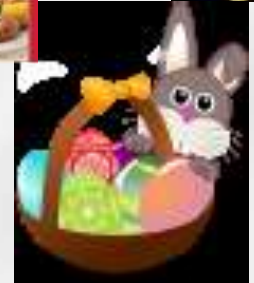


Biscuit Month and Southern Biscuit Day



shutterstock · 63825691

Holidays



Spring / Easter



"The Essence of Southern Baking"

Ad Tracking report

Ad Tracking
Planning Matrix

	Charlotte	Knoxville	Richmond	Roanoke	Columbia
BiLo	http://www.bi-lo.com/weekly-ads/view-print-ad/444/F/1/	N/A	N/A	N/A	http://www.bi-lo.com/weekly-ads/view-store-ad/723
Food Lion	http://www.foodlion.com/WeeklySpecials?StoreNumber=2203	N/A	http://www.foodlion.com/WeeklySpecials?StoreNumber=853	http://www.foodlion.com/WeeklySpecials?StoreNumber=607	http://www.foodlion.com/WeeklySpecials?StoreNumber=2506
Harris Teeter	http://flyer.harristeeter.com/HT_eVIC/ThisWeek/index.jsp?StoreID=379	http://flyer.harristeeter.com/HT_eVIC/ThisWeek/index.jsp?StoreID=379	http://flyer.harristeeter.com/HT_eVIC/ThisWeek/index.jsp?StoreID=320	http://flyer.harristeeter.com/HT_eVIC/ThisWeek/index.jsp?StoreID=280	http://flyer.harristeeter.com/HT_eVIC/ThisWeek/index.jsp?StoreID=372
Ingles	N/A	http://www.ingles-markets.com/weekly/10.7/page1.php?area=wt&title=Western%20Tennessee	http://www.ingles-markets.com/weekly/10.7/page6.php?area=va&title=Virginia		http://www.ingles-markets.com/weekly/10.7/page1.php?area=sc&title=South%20Carolina
Food City	N/A	http://foodcity.gsntips.com/Shop/WeeklyAd.aspx	N/A	N/A	N/A
Lowes	N/A	http://mywebgocart19-prtrk.com/Circular.aspx?c=131249&n=1&se=2355884108&g=a2255fe3-a231-460f-8515-b051aa54ea8&uc=1BA1B3	N/A	N/A	N/A
Wal*Mart	http://localad.walmart.com/Walmart/Entry/Flyer?StoreRef=1383&forceview=y	N/A	N/A	N/A	N/A
Publix	N/A	N/A	N/A	N/A	http://weeklyad.publix.com/publi/default.aspx?action=entry&hash&StoreRef=01095&AdRef=publixcom



Customer Contract Structure

Provide copies of current contracts for top 10 customers

Discuss typical length, existence and enforcement of volume commitments (discuss how differs in each channel)

How promotional spend managed, priced, allocated



Customer contracts

Brands and Private Label separation

How do these contracts typically work?

Previously explained except for Walmart who is roughly promo price everyday and Food Lion who is 8% higher but they heavily deduct and seldom keep commitments and programs frequently change.

What kind of price escalation do they have?

PL contracts are from 3 months to a year and commit to volume at a price and estimate of timeframe. Near expiration we quote price that must be responded/ agreed to by COB same day.

We lost Dollar Tree to cheaper Midwest Hard Wheat



See attached PL Contracts table for clarity

Midstate Mills
Outstand Orders Report
12/3/2012

Indicates contract coverage exhausted

Contract	Client/Name	ITEM	Product Description	Contract Order Quantity	Orders and Shipments against Contract to Date	Open Contract Order Quantity
32342CGR		5939250R TB HI-RATIO-CAKE FLOUR		16,890	16,894	4
5058Duffer General		491840S S CLOVER VALLEY AP FLOUR		46,880	39,582	1,298
5058Duffer General		491840S S CLOVER VALLEY SR FLOUR		16,875	11,810	5,065
5058Duffer General		5931250R CAKE-CONNET FLOUR 100TBS		8,500	20,400	11,900
5058Food City		49105510/4 EVEREADY SR FL		950	432	518
5058Food City		492000S S FOOD CITY PREMIUM AP FLOUR		1,400	1,342	158
5058Food City		492001S S FOOD CITY PREMIUM SR FLOUR		3,000	2,700	300
5058Food City		523052S S FOOD CITY PREM SR MEAL MIX		1,800	1,404	496
5058Food City		524775S S FOOD CITY CORN MEAL MIX		4,800	4,636	164
5058Food City		524380S S FOOD CITY BUTTERMILK CM MIX		1,200	810	390
5058Food City		52444510/4 EVEREADY CORN MEAL MIX		700	182	518
5058Food City		591550/12/2 FOOD CITY PREMIUM SR FL		1,500	1,080	420
5058Food City		593003/12/2 FOOD CITY PREMIUM AP FL		750	500	250
5058Food City		621555/12/2 FOOD CITY PREM SR MEAL MIX		550	400	150
5058Food City		624423/12/2 FOOD CITY SR CM MIX BSHG		1,200	600	600
5058Food City		64244510/3.25 FOOD CITY 3PL FORM BIS		375	240	135
5058Food City		64244512/70Z FOOD CITY CINN-AMEX		500	60	440
5053Food Lion		491040S S NANCY JANE ALL PURPOSE FL		3,800	6,210	-2,410
5052Food Lion		491655S S MY ESSENTIALS ALL PUR FL		24,300	24,489	3,811
5052Food Lion		491660S S MY ESSENTIALS UNBL ALL PUR		11,300	7,836	3,464
5052Food Lion		491665S S MY ESSENTIALS SR FLOUR		20,000	19,090	1,910
5052Food Lion		591652/12/2 MY ESSENTIALS ALL PUR FL		15,500	19,313	-3,813
5052Food Lion		591653/12/2 MY ESSENTIALS SR FLOUR		10,000	12,090	-2,090
5215Harris Teeter		491505S S HARRIS TEETER ALL PURPOSE		16,000	21,230	-5,230
5215Harris Teeter		491510S S HARRIS TEETER SR FLOUR		3,400	5,181	-1,781
5053Hobbs Brands		5939250R TB HI-RATIO-CAKE FLOUR		400	400	0
5053Hobbs Brands		523237R-BATIO-CAKE FLOUR		25,331	26,345	-1,014
5057Kunkle		593100R TENDRA BAKE FINE GRAMM FLR		5,596	890	4,706
5057Kunkle		511800S BULK FLOUR		15,817	14,616	1,201
5053Lakeland Mills		517573LANESIDE MILLS CAKE FLOUR ERC		7,880	9,463	-1,583
5057Lakeland Mills		624500BULK COARSE ROLLER GROUND CM		6,000	1,473	4,527
5058Maroon Milling		491731S S CKE FLOUR 1538		11,430	9,160	2,270
5058Maroon Milling		491840S S CLOVER VALLEY AP FLOUR		46,880	1,963	39,917
5058Maroon Milling		491840S S CLOVER VALLEY SR FLOUR		16,875	1,134	15,741
5058PFS Custom		491765S S CHANDLER BAKERY BISC 1538		19,159	19,090	69
5058PFS Custom		612001MIDSTATE CAKE FLOUR		5,000	2,090	2,910
5058PFS Custom		491731S S CKE FLOUR 1538		11,430	17,459	-6,029
5057Publix		491400S S PUBLIX ALL PURPOSE FLOUR		40,000	3,359	37,741
5057Publix		491455S S PUBLIX SR FLOUR		14,000	432	13,568
5057Publix		491457S S PUBLIX AP UNBL		11,500	918	10,582
5057Publix		524805S S PUBLIX MEAL MIX		1,000	45	955
5057Publix		591402/12/2 PUBLIX ALL PURPOSE FLOUR		34,000	3,920	30,080
5057Publix		591452/12/2 PUBLIX SR FL FLOUR		9,000	610	8,390
5057Publix		624832/12/2 PUBLIX FL YELL CORN MEAL		6,000	880	5,120
5057Publix		624830/12/2 PUBLIX YELLOW CM MIX		2,500	370	2,130
5057Publix		624802/12/2 PUBLIX MEAL MIX		2,000	220	1,780

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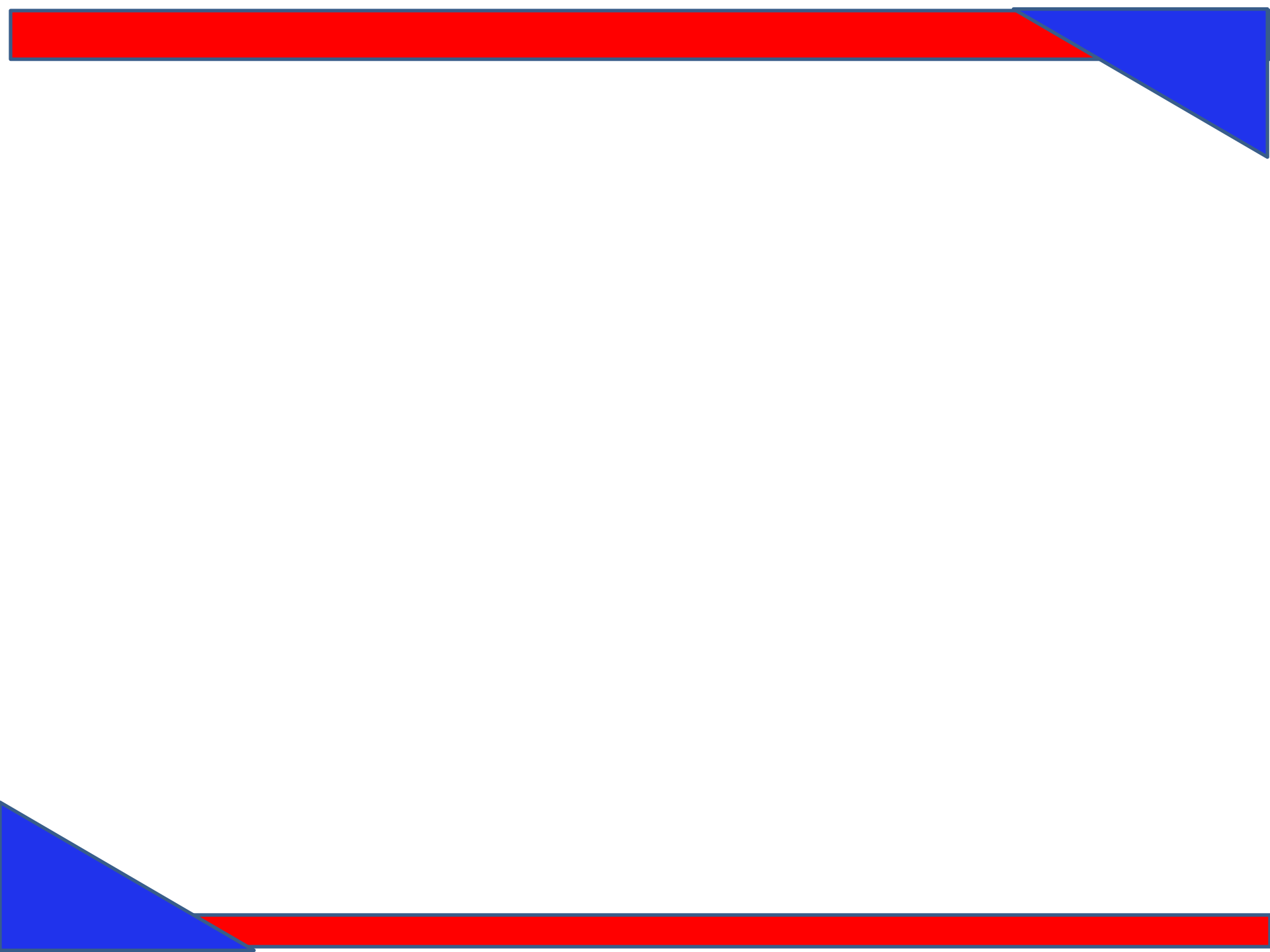
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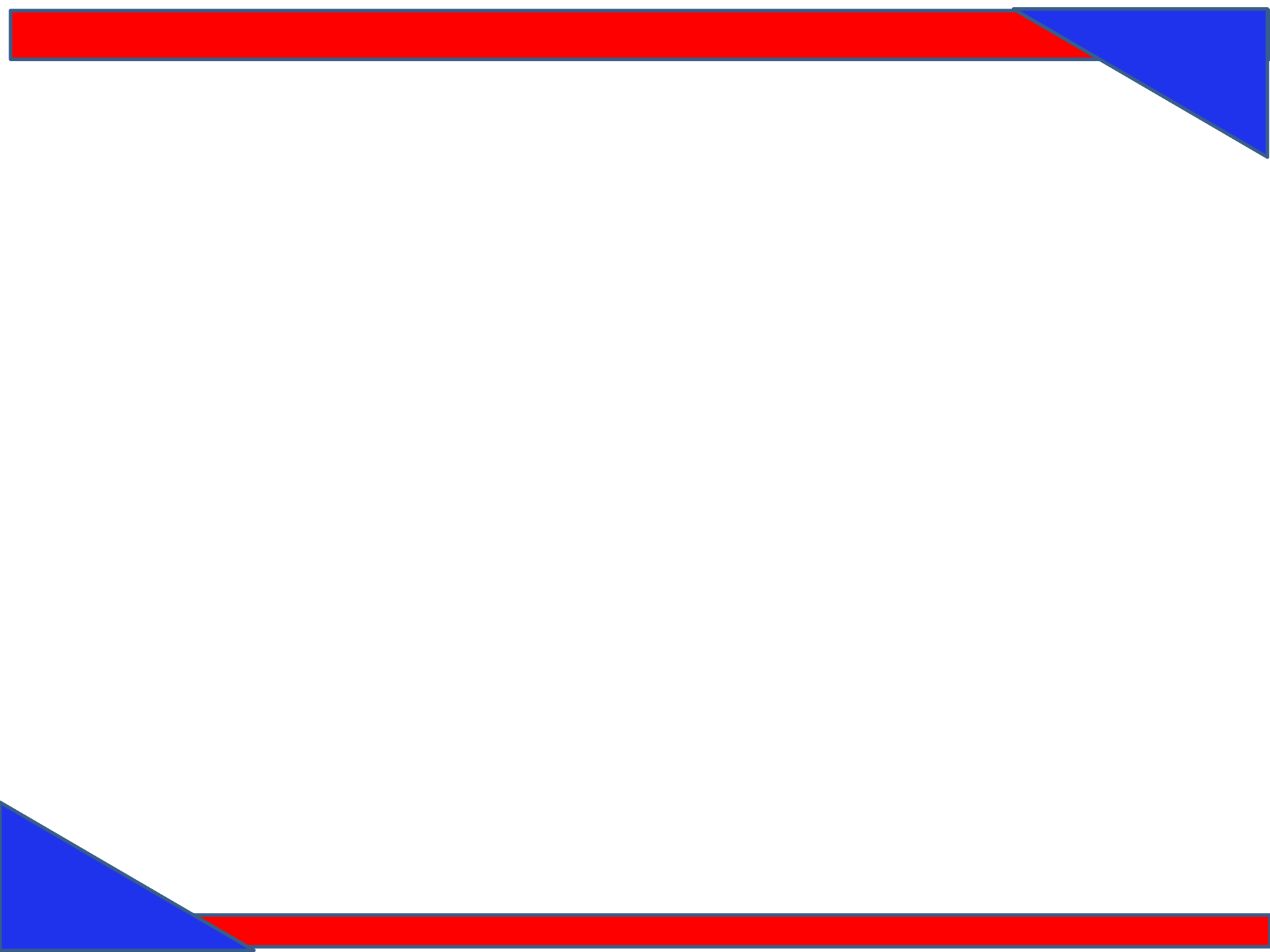
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****Midstate Mills****

Marketing Overview Highlights



Midstate Mills

Regional Presence, with Regional Power

MAPLE SYRUP & COUNTRY HAM CAKE

CAKE

- 24-ounce bag Midstate Mills Tenda-Bake Maple Burst pancake mix
- 2½-3 cups buttermilk
- ¼ cup sifted cocoa

HAM AND REDEYE GRAVY

- heaping cups Phillips Brothers country ham trimmings
- 1 cup Larry's Beans espresso coffee, brewed strong

FROSTING

- 1 cup vegetable shortening
- ¼ cup butter, softened
- 1 teaspoon almond extract
- 4 cups powdered sugar, sifted
- 2 tablespoons milk
- 3 tablespoons light corn syrup
- ¾ cups cooked Phillips Brothers country ham trimmings

REDEYE GRAVY DRIZZLE

- ¾ cups sifted powdered sugar
- ¼ cup butter, softened
- 1 tablespoon brown sugar
- 2 tablespoons Appalachian maple syrup
- ½ cup redeye gravy
- ¼ cup Carolina Nut Cracker pecan pieces, toasted and chopped

CAKE

- In large bowl, stir together pancake mix, buttermilk and cocoa.
- Cook pancakes in skillet according to package directions, making large-size cake layers about 8 inches in diameter. Let cool.

HAM AND REDEYE GRAVY

- Heat skillet on medium-high heat. Add country ham pieces with about 1 cup water to hot pan, and cook until water evaporates.
- Once evaporated, continue cooking ham bits until crispy, about 2-3 minutes, stirring frequently.
- Remove ham with slotted spoon, and set aside.
- Add 1 cup strong coffee to ham drippings, and stir with whisk to scrape up any bits to make redeye gravy.
- Bring to a boil, and cook several minutes to reduce by half.
- Strain through coffee filter to remove dark bits, and cool.

FROSTING

- In the bowl of a stand mixer on medium speed, cream shortening and butter. Add almond extract.
- Gradually mix in sugar, 1 cup at a time, scraping sides and bottom of bowl several times.
- Add milk and syrup, and continue to beat on medium speed until light and fluffy.
- With spatula, fold in cups country ham bits into frosting.
- Spread between pancake layers and on top, letting some drip down sides of cake.

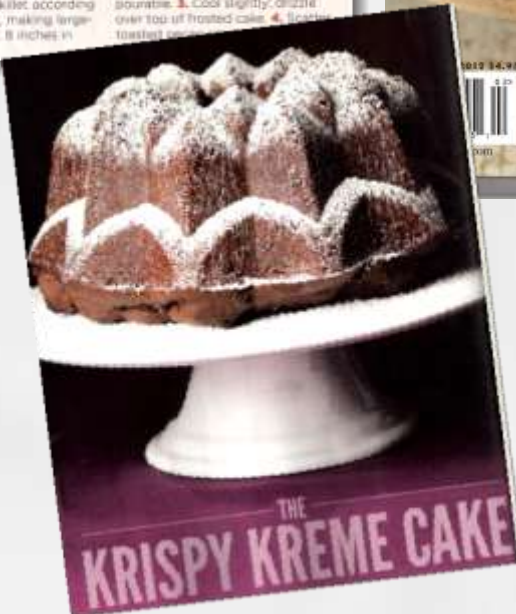
DRIZZLE

- Put all drizzle ingredients except pecans into a microwave-safe bowl.
- Heat in 30-second intervals, stirring after each, until blended and pourable.
- Cool slightly, drizzle over top of frosted cake.
- Decorate with pecan pieces.



Our Pancakes are featured on the cover of the February 2012 issue with two recipes using our pancake mix and flour – written by recipe developer, Wendy Perry

Over 5 Million Viewers



KRISPY KREME

Here they come. They arrive in the grease in groups of three.

They move slowly, and they are delicious. But they have one more thing in common: they have no years of history, back to 1937, forging them together as one strong Southern unit.

They take grease on one side and then flip to the other. They move to a conveyor belt at a deliberate pace, with reinforcements emerging every 10 seconds.

Three more. Three more. Three more. Three more. They approach a wall of liquid sugar, white hot. It surges to shatter each row of three from front to back. They don't rush.

KRISPY KREME CAKE

- 2 cups Midstate Mills Southern Biscuit all-purpose flour
- 1 teaspoon baking powder
- 1 teaspoon baking soda
- 1 teaspoon salt
- 1 cup buttermilk
- 1 cup applesauce, freshly made with North Carolina apples*
- 1 cup vegetable oil
- 1 tablespoon finely ground Larry's Beans mocha coffee beans
- 2 teaspoons Van's Best gourmet vanilla extract
- 16 ounces Escabez chocolate 64% cocoa
- 2 large eggs
- 2 large egg whites
- 1 cup sugar
- 6-12" Krispy Kreme original glazed doughnuts, torn into 4 chunks (let doughnuts air-dry several hours)

CAKE

- Preheat oven to 325°. Spray bundt cake pan with nonstick spray.
- Mix together flour, baking powder, baking soda and salt, in another bowl, coffee granules, and vanilla.
- Heat coffee granules with applesauce, oil, chocolate in microwave in 10-second intervals, stirring each time, until melted.
- Cool slightly.
- Beat eggs and egg whites with stand mixer on low speed. Gradually add sugar. Increase mixer speed to high, and mix until stiff peaks form.

*For applesauce, use 4 cooking apples, 2 tablespoons water or apple juice, and one teaspoon sugar or honey. Peel, core, and chop apples. Place in microwave-safe bowl. Sprinkle with water. Cover tightly, and cook on high about 6 minutes, until apples are tender. Add sugar and mash with potato masher until desired consistency. (If the apples are naturally sweet, you can omit adding sugar.)

and bake, about 5 minutes.

ASSEMBLY
1. Spoon a layer of batter into pan to cover the bottom (which will become the top when inverting) and then place the batter. Spoon batter over doughnut pieces and repeat batter/doughnut layers until pan is full.

NOTES:
The number of doughnuts depends on size and shape of pan. For best results, use a bundt pan with wide tube.

Fresh doughnuts will "melt" into cake. Be sure to allow doughnuts to air-dry several hours or overnight to prevent them from softening in the cake.

For applesauce, use 4 cooking apples, 2 tablespoons water or apple juice, and one teaspoon sugar or honey. Peel, core, and chop apples. Place in microwave-safe bowl. Sprinkle with water. Cover tightly, and cook on high about 6 minutes, until apples are tender. Add sugar and mash with potato masher until desired consistency. (If the apples are naturally sweet, you can omit adding sugar.)

Regional Presence, with Regional Power



Celebrating North Carolina's Local Foods
From the Foothills to the Coast
Issue 13 Harvest 2011 / FREE

Regional FSI's

- 2 cups of Southern Biscuit® Self-Rising Flour
- 1/3 cup cold butter, cut in cubes
- 2/3 cup milk or buttermilk
- 1/8 cup heavy cream
- 2 tablespoons melted butter
- Prepared barbecue
- Prepared coleslaw



Celebrate Southern Wine's Day on Sept. 1
For more information
visit www.southernwinefestival.com

**SAVE
50¢**

On Any Tenda-Bake® Item



'The Essence of Southern Baking'

****Midstate Mills****

Regional Presence, with Regional Power

Belinda Ellis is a food and recipe expert, and supports our products - this was live and then posted to their website.



This is the best biscuit recipe that I make, and I have tried hundreds of variations with more fat, less fat, sugar, extra salt, and even other brands of flour. I have tried sweet milk, cream, buttermilk, and even 7-up and mayonnaise. This basic recipe is the best, it bakes up light and tender, moist and flaky.

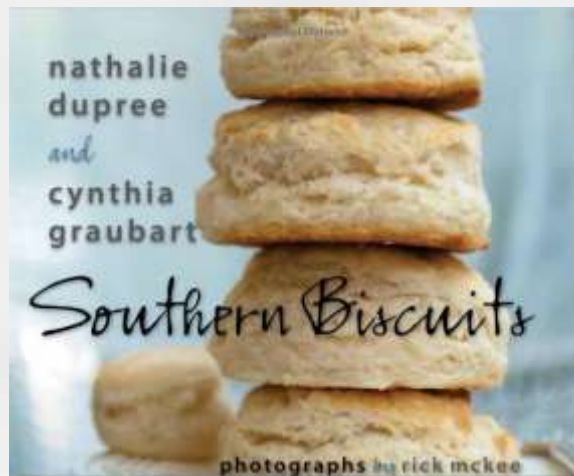
I have been an official baker and recipe developer for flour companies for over 15 years and have baked more than thousands of biscuits. Once I baked and served over 1000 biscuits in 3 hours with food scientist and cookbook author, Shirley Corriher. So I have baked lots of biscuits and along the way learned a few tricks to make them perfect every time. They are not magic tricks, but tricks grandmothers learned from their mothers who learned from their mothers before them.

This recipe starts with the first secret, soft wheat southern flour. biscuit. Northern wheat is hard wheat and thus makes good pizza crust, hard rolls, and bagels. Did you ever think why are biscuits southern? It is the type of soft wheat that grows best down south that makes a light biscuit.

Southern Biscuit® Flour is milled by Midstate Mills and the third generation of family millers in Newton, North Carolina, just steps from the town square. They have been there for over 75 years making southern flour and corn meal, and now biscuit mix, pancake mix and seasoned flour.

Flour is the most important ingredient in baking, why not make it the best?

Author and food expert
Nathalie Dupree has also
mentioned us in her book
– and uses our flour



****Midstate Mills****

Southern Biscuit Day – Newton, NC – Celebrating Biscuit Month



Midstate Mills

Congratulations Wendy Perry!

1st Annual BEST SOUTHERN BISCUIT® RECIPE CONTEST Winner Announced! « Midstate Mills Special Events
midstatemillsspecial.com

Like · Comment · Share · September 14 at 11:43am ·

2 people like this.



Cindi Naylor Pate Down Home Magazine congratulates Wendy on her WIN!

September 14 at 7:34pm · Like · 1



Midstate Mills Thanks Cindi!

September 14 at 7:36pm · Like · 1



Wendy Perry Thanks y'all! One of THE biggest surprises of my life.... I'm so honored... and had a wondermous time yesterday at Biscuit Day! Such nice peeps, great Midstate Mills Biscuits... dee-lish goodies from Neese's.... beautilous day.... !!

September 15 at 6:29am · Like · 2



Jody Currin So happy that you won and it was a wonderful day, so pleased for the networking opportunities and listening to the response of folks trying my Mrs Picky Fanickys North Carolina Apple Pie MmmMarmalade and NC chutney..

September 15 at 8:04am · Like · 1



Midstate Mills Congratulations

September 16 at 8:15am · Like · 1



Wendy Perry :)

1st Annual Best Southern Biscuit Recipe Contest – Facebook announced!!



Mrs. Picky's Biskits

Home of Midstate Mills and a lot of wonderful folks..



View Post · September 15 at 11:23am



Follow us on Facebook and twitter!



The Essence of Southern Baking

****Midstate Mills****

Regional Presence, with Regional Power

INTERNATIONAL
BISCUIT
FESTIVAL
KNOXVILLE

Major sponsor of the International Biscuit Festival held during May in Knoxville – over 20,000 people attended 2011 and 25,000 in 2012!!

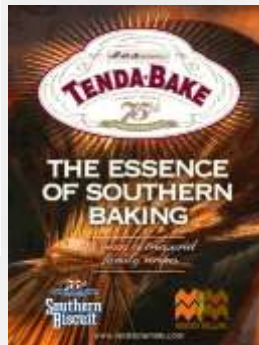
#1 Food
Festival in the
Nation

PARTNERS

BLACKBERRY FARM



2012 Additional Sponsors – Alton Brown touted Southern Biscuit as the best during his show



We have our own DVD with family history and many, many recipes to share!

The Biscuit Bashers



We also work with and sponsor regional bloggers to get the word out!

Last week I was privileged to be a part of Midstate Mills Biscuit Day in Newton, North Carolina.

Number One – what a cute little town! The festivities took place right in the center of this quiet little gem, where streets are slow and parking is easy.

Number Two – Midstate Mills folks are amazing. Southern, sweet, and a joy to be around! (Kind of like their biscuits!) It's a family owned and operated business, steeped in history and surprisingly small. Only about 100 employees making all that flour and all of those mixes! It's a pretty overwhelming operation, from the farmer's pulling in with their wares, having their product immediately sampled and tested for quality in the small lab, to the storage, to the breaking down of grains, to the packaging...it's a very organized and precise system. And shockingly CLEAN!! I

****Midstate Mills****

2012 International Biscuit Festival



Bake Off, Volunteers, to Midstate Mills Sales Team – this was a huge success!!



We handed out over 2500 free samples of Southern Biscuit Flour



"The Essence of Southern Baking"

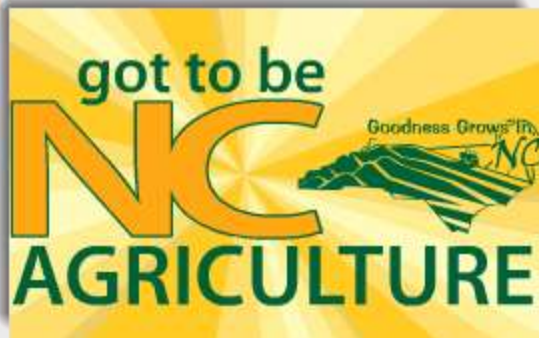
****Midstate Mills****

Science behind the Flour



We collaborate with Shirley Corriher, she is the scientist and resident expert to the cooking stars such as:

- Alton Brown
- Paula Deen
- Giada de laurentiis
- Barefoot Contessa



Active partner and participate in NC promotions and tours – including visits to local retailers supported with couponing, tastings and free samples



"The Essence of Southern Baking"

****Midstate Mills****

Celebrating Community



Public invited to "Santa House" in December

NEWTON, NC (November 9, 2011) -- The employees of Midstate Mills in Newton are proud to announce plans for the 2011 Santa House. This free special event is planned for three consecutive weekends in December, located at 25 North Brady Avenue in Newton.

The public is invited to visit Santa House on Dec. 2-3, Dec. 9-10, and Dec. 16-17. Hours for each day are 5:00 p.m. to 9:00 p.m.; however, a special open house will be held on Dec. 16 from 12:00 noon to 4:00 p.m. for those who would like to tour the home and avoid the crowds while Santa and Mrs. Claus are away for the afternoon.

Attendees will be treated to icicle punch and homemade cookies while touring Santa House, while enjoying Christmas animations and collectibles. Families will also get a private visit with Santa, and children will make their own "reindeer feed" to take home with them. The kids will also get to play in the "Outside Snow Village," and enjoy visiting with the animals from Circle C Petting Zoo and Millhaven Farm.

In addition, photos with Santa Claus and carriage rides around downtown Newton will be available for a small fee.

Midstate Mills has also created a Facebook page complete with event details and photos from past years' events. Visit www.facebook.com/santahousenewton for more information.

Listed on the City of Newton Website, facebook, and many press releases – Midstate Mills and employees sponsor a Santa House each year for the community – pulls in people from several counties and is a highlight and family tradition for many.



Santa House in Newton, NC

Thank every one who visited Santa House this season. See you next year.

Like · Comment · Reshare · December 18, 2011 at 1:18pm ·

15 people like this.



Teresa Zandy Drum Had a wonderful time!! Thank you!

December 18, 2011 at 1:29pm · Like



Tabitha Mechelle Coulbourn Thanks had a great time

December 18, 2011 at 3:44pm · Like



Diane Lacoursiere-Christensen Thank you! It was a lot of fun!!!

December 19, 2011 at 6:39am · Like



Holly Turner Thank you!!!! We love Santa House. It has become one of our favorite family traditions!

December 22, 2011 at 12:14am · Like · 1

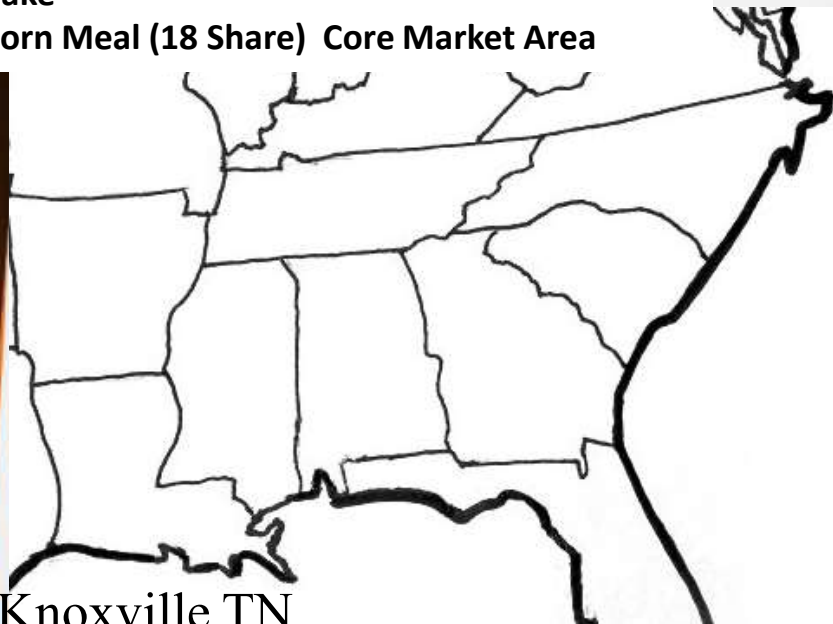


Total Market Southern Biscuit & Tenda-Bake Fastest Growing Regional brands

Growth Change Impact across Markett area

Southern Biscuit Flour (11 Share) & Tenda-Bake

Corn Meal (18 Share) Core Market Area



Knoxville TN

South Carolina

FLOUR

Ctgry Growth 1%
SB Share 2
Unit Growth +14%
PL share/growth 20/ +5.6%

CORN MEAL

Ctgry Growth -1.3%
TBShare 4
Unit Growth +51%
PL share/growth 19/+123%

FLOUR

Ctgry Growth +5%
SB Share 12.2
Unit Growth +43%
PL share/growth 27/+33%

CORN MEAL

Ctgry Growth -1.1%
TBShare 18
Unit Growth +1%
PL share/growth 7.3/+17%

Charlotte NC

FLOUR

Ctgry Growth +4%
SB Share 25.7
Unit Growth +7.2%
PL share/growth 19/+36%

CORN MEAL

Ctgry Growth -3.6%
TB Share 45
Unit Growth +4.2%
PL share/growth 2.3/+2.7%

Roanoke VA

FLOUR

Ctgry Growth +5%
SB Share 3.2
Unit Growth -15%
PL share/growth 11.8/+12%

CORN MEAL

Ctgry Growth -0.2%
TBShare 12
Unit Growth +6%
PL share/growth 9/+30%

Richmond/ Norfolk VA

FLOUR

Ctgry Growth +6%
SB Share 6.0
Unit Growth +7%
PL share/growth 32/+12%

CORN MEAL

Ctgry Growth +7.7%
TBShare 3
Unit Growth -4.7%
PL share/growth 2/+17%

Raleigh/Greensboro NC

FLOUR

Ctgry Growth +6%
SB Share 12
Unit Growth +7%
PL share/growth 25/+3%

CORN MEAL

Ctgry Growth -12%
TBShare 16
Unit Growth +2.4%
PL share/growth 2/+17%



Source: 52 week IRI p.e. 12/29/2010

"The Essence of Southern Baking"

OVERVIEW: Midstate Mills

Bakery Financial Benchmarks

Margin Improvement

	Industry Best Practices Benchmarks*	Prospect (LTP P6 2011)		Gap
Net Revenue	100.0%	\$52,729	100.0%	
Cost of Sales	<u>52.0%</u>	<u>28,108</u>	<u>53.3%</u>	0.0%
Gross Profit	48.0%	24,621	46.7%	0.0%
Operating Expenses	17.5%	13,629	25.8%	0.0%
Adj. EBITDA Margin	25.0%	10,992	20.8%	0.0%
Sales per Employee	\$225,000	\$174,601		\$00,000
Adj. EBITDA per Employee	\$56,250	\$36,397		\$00,000

Capital Management

	Industry Best Practices Benchmarks*	Prospect (LTP P6 2011)		Gap
Days Receivable	32.0	39.5		0.0
Inventory Turns	17.0x	10.1x		0.0x
Days Payable	45.0	35.9		0.0
Tangible Assets to Sales	00.0%	58.2%		0.0%
3yr Avg. CapEx to EBITDA	40.0%	45.8%		0.0%
CapEx to Sales	11.0%	9.5%		0.0%



Category Growth Only Sustained & Maximized when PL + Brands mutually Promote & Grow

Best Practices for Center Aisle & Impulse Retail Brand Growth*

- 10% to 20% Price gaps everyday (more comparable, lower the gap)
- 20% to 25% Retail Brand Promoted Price gaps
- Other Brands within 3% to 5 % of Retail Brands during Regional / National Brand Promo
- Both are displayed & featured throughout year—not at same time
- Innovative Items Intro that:
 - Are Unique
 - Add \$'s to category with trade- ups or new Trials
 - Attract New Consumers to Category
 - Solve for Concern or Better Solution
- Max's Funding Programs



*Source: PL Buyer / Retailer Brand Summit Reports 1999 - 2009

New Monthly Reporting Tools

1. By Person, By 2 Accounts , By Total, By Month & YTD--- Sales, Sales vs. Plan, %+/-PY, %+/- Plan
2. New Items By Person, By Major Accounts Initial Order, Re-Order Actual vs. Plan
3. Distribution Gains By Person & Account
4. Bonus Tracking



FOODSERVICE

- Foodservice Account Realignments
- HT Hackney
- IFH KY
- US Foodservice Raleigh
- US Foodservice Lexington SC
- Pate Dawson
- Sysco Memphis
- Sysco Columbia SC
- Sysco Nashville
- Sysco Knoxville
- McLane
- Foodservice Account Realignments
- Independents

Events and Social networking
+1 Merchandiser
+1 Account Manager
+1 part time intern program



Top 6 Supermarket Industry Trends for 2010

Value is King

Private label will continue to gain market share at branded products expense.

Ad Spending Improves and Goes Digital

Brands will be forced to increase their ad and consumer promotion spending to drive sales volume and add value to their products. Budgets for consumer advertising will be up from 15-25% on average with increased emphasis on internet and social media spending.

Health Drives the Consumer

The consumer is finally doing what they say and buying more healthful products. Of course it doesn't hurt that there are more healthful products being marketed by the major food companies than ever before. Kellogg's has increased the amount of fiber in its cereal and both Kellogg's and General Mills are working on reducing sugar in kids cereals.

Pricing Remains Stable

We don't see any real problems with commodity prices in 2010. Pricing will actually be stable and somewhat boring compared to prior year price swings. Deflation hurts the retailers the most but moderate price increases on basic commodities will not lead to aggressive price increases because companies will risk losing market share.

Mergers and Competition Intensify

Look for increased consolidation and acquisition activities. Kraft's acquisition of Cadbury is the first of several more in 2010 in the supermarket space. General Mills, Kellogg's and Smucker's are in the best shape to add strategic targets to their portfolio. There will be heavy activity for smaller private food manufacturers with strong sales in branded or private label manufacturing.

Home Cooking But Not Really

Finally, the consumer will continue with their home focus over restaurants for family food consumption. Look for center store categories like pasta, baking mixes, soup and dinner replacement options like frozen pizza and frozen entrees to do well. Consumers want to eat at home with the family but they don't really want to cook, just have it look like it.



Sales Compensation Examples

<u>Title</u>	<u>Salary</u>	<u>Bonus</u>	<u>T&E/Benefits</u>	<u>Total</u>
Sales Merchandiser	\$30,000	\$0	\$16,000	\$46,000
Sales Representative	\$45,000	\$6,750	\$20,700	\$72,450
Account Manager	\$60,000	\$15,000	\$30,000	\$105,000
Sales Director I	\$85,000	\$29,750	\$40,162	\$154,912
Sales Director II	\$100,000	\$35,000	\$54,000	\$189,000
Vice President of Sales	\$160,000	\$64,000	\$89,600	\$313,600
SVP of Sales & Mktg	\$200,000	\$100,000	\$120,000	\$420,000

Source: TSFC and Salary.com. Assumes 15% bonus for Sales Rep, 25% bonus for Account Mgr, 35% for Sales Director I & II, 40% bonus for VP of Sales, and 50% for SVP. Assumes T&E/benefits at 40% of total compensation

Account Manager Bonus Example

Annual Base Salary	\$60,000
Target Award Percentage	<u>x 25%</u>
Target Award Dollars	\$15,000

Value Added Product Sales Target	\$200,000
Actual Sales Achieved	\$220,000
VAP Performance Result	110%
Goal Weight	<u>x 40%</u>

44% = \$6,600

Core Products Sales Target	\$800,000
Actual Sales Achieved	\$720,000
CP Performance Result	90%
Goal Weight	<u>x 40%</u>

36% = \$5,400

Total Midstate Mills Performance Result	120%
Goal Weight	<u>x 20%</u>

24% = \$3,600

Total Performance Score 104.0%

Potential Incentive **\$15,600**

Individual Performance Factors (e.g. DSMP's & Teamwork) 90%

Earned Incentive (Potential Incentive x IPF) **\$14,040**



Midstate Mills, Inc.

New Products Charter

Market Attractiveness

- Large enough to generate \$15 per \$ Million ACV sales velocity or over \$1 million in annual sales across the total new product line
- Demonstrated double-digit growth within product category, user group, and/or usage occasion
- Gross Margin in excess of 50% and Contribution Margin that exceeds 20% of gross sales
- Priority given to distinctive products that are either:
 - New to the World
 - Rendition of “Fast Casual” restaurant offering not yet available at retail

Financial Reward vs. Risk

- Profitable by end of Year 1 commercialization and recoup all R&D development and introductory marketing expenses by Year 2,
- Internal Rate of Return in excess of 10% with positive Net Present Value after five years

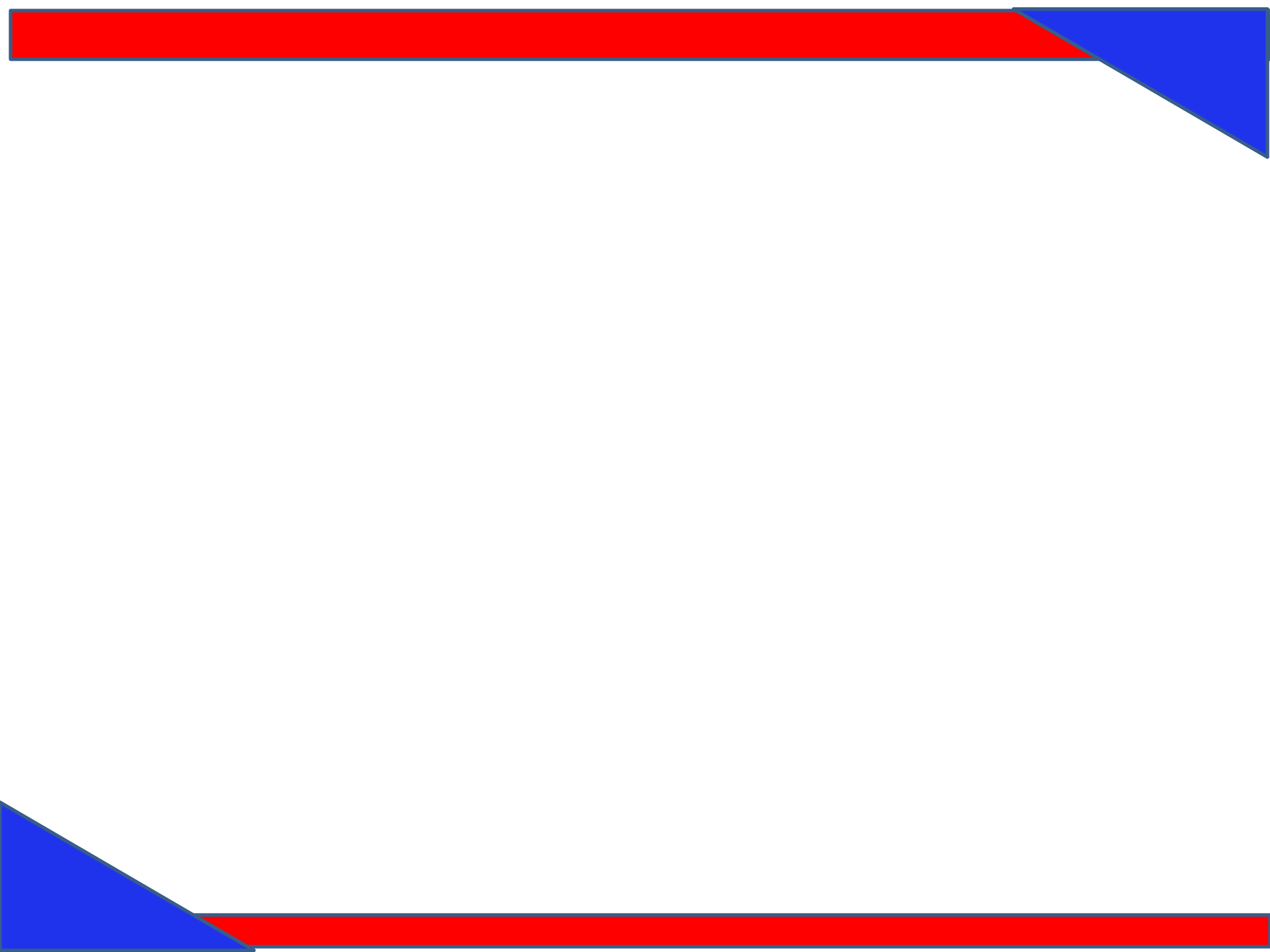


Midstate Mills, Inc.

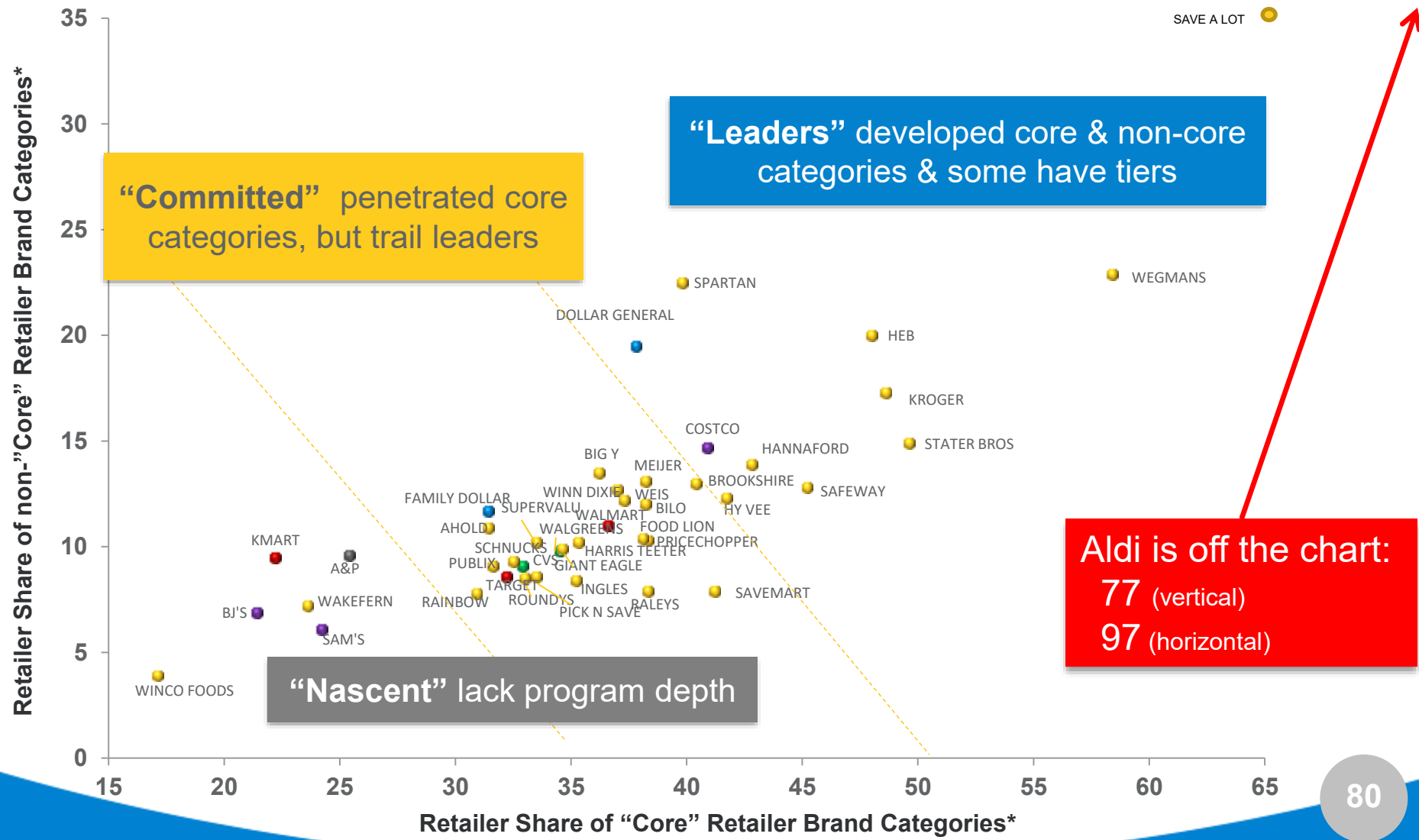
Future New Product Initiatives

- After launching Tenda-Bake Pancake Mixes and Seasoned Flour in Fiscal 2010, Midstate Mills is pursuing new product launches in the following product categories:
 - Tenda-Bake Gourmet Grade Flour (Foodservice) Q2 2010
 - Tenda-Bake Gourmet Grade Flour (Retail Grocery) Q1 2011
 - Tenda-Bake Gravy Mixes Q3 2011
 - Tenda-Bake Muffin Mixes Q1 2012
 - Tenda-Bake Grits Q3 2012
 - Tenda-Bake Brownie Mixes Q1 2013





Leaders have expanded beyond core categories



Leaders succeed with different models



Brand Strategy	Complex • 3 Value Tiers • Lifestyle Segment Extensions (e.g., Healthy, Organic) • Category Extensions with Distinct Brands (e.g., Beauty, Baby, Pet)	Two-Pronged • One premium brand, Kirkland Signature • Unique use of co-branding with National Brands to build category credibility
Sourcing Strategy	Mixed Model • Performs “make or buy” analysis on each product • Produces ~40% of Retail Brand units in owned sites • Operates 40 manufacturing plants	Outsources all Retailer Brand Product • Heavy involvement in product design & development • Identifies category for entry & back-engineer with chosen vendor for desired quality level
Role of National Brands	• While a corporate priority, Retailer Brands represent 27% of sales & 34% of units • Has built many CPG capabilities in-house (e.g., consumer loyalty analysis, product lifecycle management) which heightens expectations of vendor partners	• Typically offers one Nationally-Branded alternative to Kirkland Signature in most categories • Retailer Brand & National Brand supplier can be the same • Expectations of unique pack sizes & inventory management capabilities from suppliers

\$93 billion in private brands sales & up 24% since 2007, while brands grew 4%

